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Options for Tax System Reform in Asia and the Pacific

Ikuo Saito, Jimena Acedo, Ruud De Mooij, Chenghong Wang, and Ross Warwick

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Options for Tax System Reform in Asia and the Pacific

Prepared by Ikuo Saito, Jimena Acedo, Ruud De Mooij, Chenghong Wang, and Ross Warwick[1]

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ABSTRACT: Asian and Pacific economies face mounting fiscal pressures from high and rising debt and interest rates and significant spending needs in light of successive shocks. In the coming years, these fiscal strains will likely be exacerbated by the fiscal implications of structural trends in demography, technology, geoeconomic fragmentation, and climate transitions. To address these mounting fiscal challenges, domestic revenue mobilization will be imperative. Based on a comparative analysis with global peers, this paper provides an integrated assessment of the opportunities for enhanced revenue mobilization across the region, drawing on newly compiled data and indicators for cross-country revenue, tax design and tax administration. It documents comparatively low tax-to-GDP ratios and sizable tax potential, alongside marked differences in policy design and administrative capacity across income groups. The paper identifies five areas for reform for Asian and Pacific countries: strengthening value-added taxation; rationalizing corporate income tax incentives; expanding recurrent property taxation; accelerating digitalization in tax administration; and building public trust in tax administration. The appropriate sequencing differs across countries, but durable domestic revenue mobilization requires policy and administration to be treated as an integrated system, embedded in medium-term revenue strategies, and adapted to structural transitions and institutional capacity.

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WORKING PAPERS

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Acronyms/Glossary

AEs..... Advanced Economies

AI..... Artificial Intelligence

AIPI ..... AI Preparedness Index

APD..... Asia and Pacific Department

AFR..... African Department

CD ..... Capacity Development

CIT ..... Corporate Income Tax

CITEs ..... Corporate Income Tax Expenditures

CREATE..... Corporate Recovery and Tax Incentives for Enterprises

DRM..... Domestic Revenue Mobilization

EUR..... European Department

EMEs..... Emerging Market Economies

FAD ..... Fiscal Affairs Department

FIRB..... Fiscal Incentives Review Board

GIS ..... Geographic Information System

GloBE..... Global Anti-Base Erosion

GST..... Goods and Services Tax

GTED ..... Global Tax Expenditures Database

HNWI..... High-Net-Worth Individuals

ICT ..... Information and Communication Technology

ISORA.....International Survey on Revenue Administration

LIDCs.....Low-Income Developing Countries

LTO.....Large Taxpayer Office

MCD.....Middle East and Central Asia Department

METR.....Marginal Effective Tax Rate

MSMEs .....Micro, Small, and Medium Enterprises

OSI.....Operational Strength Index

PICs .....Pacific Island Countries

PIT .....Personal Income Tax

POA .....Performance Outcome Area

RoW.....Rest of the World

RAYT .....Revenue Assessment and Yield Tool

SEZs .....Special Economic Zones

SIS .....Small Island States

TADAT .....Tax Administration Diagnostic Assessment Tool

TE .....Tax Expenditure

VAT.....Value-Added Tax

WHD .....Western Hemisphere Department

WoRLD .....World Revenue Longitudinal Database

I. Introduction

Asian and Pacific economies[2] remain a dynamic engine of global growth. However, this dynamism is unfolding against a difficult medium-term outlook, characterized by heightened global uncertainties and tensions, elevated public debt and interest payments, and diminishing macroeconomic policy buffers. Successive shocks, such as the COVID-19 pandemic, supply chain disruptions, volatile energy prices, and intensifying geoeconomic fragmentation, have strained fiscal positions and underscored the need for domestic revenue mobilization (DRM) strategies to support sustainable and inclusive growth.

The region therefore confronts a threefold fiscal challenge of addressing rising expenditure needs, overcoming resistance to higher tax burdens, and safeguarding fiscal sustainability. Spending pressures are increasing in areas such as health, education, climate adaptation, infrastructure, and security. At the same time, tax increases remain politically sensitive, particularly in the context of unfavorable demographic dynamics. Fiscal tightening in advanced economies (AEs) may also continue to constrain official development assistance, rendering DRM increasingly important in emerging market economies (EMEs) and low-income developing countries (LIDCs).[3]

Tax-to-GDP ratios in many Asian and Pacific economies are notably low compared to other regions. This may, of course, reflect a public choice for smaller governments. However, many EMEs and LIDCs in the region feature tax-to-GDP ratios below 15 percent, a level that is found to be systematically associated with lower economic growth and subdued development (Gaspar and others, 2016; Bellon and Warwick, 2025). The *Compromiso de Sevilla* (UNGA 2025) therefore considers a 15 percent tax-to-GDP ratio as a lower bound for DRM as part of the global financing for development agenda.

The revenue imperative in Asian and Pacific countries is reinforced by structural transformations that will be shaping expenditure needs, tax bases, and the operation of tax administrations over the coming decades. In particular, Box 1 discusses four interconnected transitions that will have profound implications for tax systems: demography, technology, multilateralism, and climate; these are summarized for expositional purposes as the “Four P’s”: People, Productivity, Power, and Planet.

The four transitions reinforce the case for higher and more resilient revenue. Population decline and ageing will put upward pressure on age-related expenditure and shrink tax bases. It may induce governments to expand support for families, labor force participation, and immigration. Automation and artificial intelligence (AI) could lead to significant labor displacement in the coming years and call for public support in education, reskilling, and social protection. Climate mitigation and adaptation, together with responses to more frequent natural disasters, will add further fiscal pressures.

Yet, there is significant uncertainty about the direction, pace and magnitude of these four transitions. If AI is deployed in ways that complement workers, productivity gains could offset some of the fiscal effects of a declining working-age population. A renewed commitment to multilateralism could strengthen cooperation on international taxation and climate policy. Under such conditions, strong productivity growth and broad-based employment gains, including among older workers, are possible, which in turn help public finances. Effective international coordination and more capable tax administrations could further support revenue mobilization.

[2] The principal coverage of this paper is the economies covered by the IMF’s Asia and Pacific Department (APD).

[3] For analytical purposes, the paper uses the following four country groups unless otherwise indicated: advanced economies; emerging market economies; low-income developing economies; and Pacific Island countries/small island states (PICs/SIS).

Nevertheless, tax systems need to remain resilient to less favorable scenarios. A declining labor share would increase the relative importance of taxing capital income and rents and could call for greater reliance on taxes on consumption and property. As economic activities become more digital and intangible assets grow in importance, pressure on the cross-border allocation of taxing rights will increase. These developments reinforce the call to enhance destination-based taxation as well as the need to strengthen international cooperation in tax design and administration and use digital tools to improve compliance and taxpayer services.

To prepare for the future, a tax system reform agenda is required that integrates tax policy and tax administration. The DRM literature shows that tax capacity depends on structural conditions, institutional quality, and administrative effectiveness. Many developing economies collect substantially less than their estimated revenue potential, which points to ample scope for improvement through reform of tax systems (Fenochietto and Pessino, 2013; Benitez and others, 2023). In this connection recent IMF work emphasizes the importance of base broadening through rationalizing tax expenditures, compliance improvements through better use of digital technology, and improved governance and trust to support voluntary compliance (IMF, 2025a).

While these general principles provide a useful guide for identifying DRM options, this paper contributes to that agenda by providing a more focused comparative assessment of both tax policy and tax administration across Asia and the Pacific relative to peers in other parts of the world. On the tax policy side, it draws on the recently compiled World Revenue Longitudinal Database (WoRLD) and data on cross-country tax rates and bases compiled by the Fiscal Affairs Department (FAD). Revenue administration indicators come from the Operational Strength Index (OSI), International Survey on Revenue Administration (ISORA), and the Tax Administration Diagnostic Assessment Tool (TADAT). Combining these sources makes it possible to identify areas of relatively weak performance in the region.

The remainder of the paper is organized as follows. Section II presents stylized facts on revenue performance, tax design, and tax administration across APD economies. Section III examines the following five selected areas for reform with significant revenue potential in the region: value-added tax (VAT), corporate income tax expenditures, property taxes, digitalization in tax administration, and public trust in tax administration. Each deep dive reviews current practices and gaps, discusses reform options, and, where feasible, considers potential revenue gains. Section IV concludes.

Box 1. Trends Reinforcing Revenue Needs

We discuss four major structural trends that will likely reinforce strains on public finances and revenue systems in the coming years. They can be labeled the four P’s: People, Productivity, Power and Planet.

Demographic Transition (People)

APD economies account for about half of the world’s population and are undergoing profound, though highly diverse, demographic transitions. Many face some combination of lower fertility, population ageing, population decline, and changing migration patterns. By slowing labor force growth and potentially weakening productivity and investment, these trends may reduce potential growth and intensify fiscal challenges.

Policy responses can operate through fertility, immigration, labor force participation, and longer working lives. Japan illustrates the importance of labor supply responses: although its total population began to decline in 2008, higher participation among women and older workers has supported the workforce. IMF (2025b) also highlights the economic benefit of healthier ageing, which can be supported in part through well-designed health taxes, including on tobacco and unhealthy food. Labor market, pension, and social protection reforms can encourage longer working lives, for example by raising retirement and pension ages and reducing disincentives to work at older ages. Such reforms are politically difficult; IMF (2025c) emphasizes that public buy-in can improve the prospects for successful reform. Automatic adjustment mechanisms for pension parameters, including social security contribution rates, can also help manage political constraints, particularly when introduced before demographic pressures become acute (Arbatli Saxegaard and others, 2016).

Demographic change will also reshape tax bases. Declining and ageing populations tend to weaken labor income and social contributions. The effects on capital income, wealth, and inheritance are less certain, as longer lives may encourage asset accumulation but also eventual decumulation. A smaller workforce and potentially weaker entrepreneurship could reduce corporate income, while weaker labor income may also narrow the VAT base, although consumption taxes are generally more stable than income taxes. These shifts strengthen the case for a balanced tax mix, broader bases, and policy design that limits disincentives to labor force participation. Tax administrations will need to adapt to evolving taxpayer segments, strengthen tailored taxpayer services, and ensure compliance across increasingly diverse and mobile populations.

Technological Transition (Productivity)

Disruptive technologies, especially AI, are reshaping production, labor markets, business models, and tax administration. Asia is a leader in the use of digital tools, but the IMF's AI Preparedness Index (AIPI) points to wide differences across economies and sectors. AEs in the region generally have stronger digital infrastructure and greater AI readiness, while many LIDCs lag, particularly in human capital and institutional capacity. Uneven access to infrastructure and skills could therefore widen existing inequalities. Che and others (2026) also point to the possibility that AI may worsen generational inequality if older cohorts capture larger income gains. At the same time, advanced AI could generate sizable productivity gains and improve the efficiency and transparency of public finance operations.

The fiscal implications are multifaceted and uncertain. Governments are likely to face pressure to help workers adapt through education, retraining, and social protection. Although aggregate productivity gains could be substantial, their distribution will depend in part on policy, including taxation. If AI substitutes for labor at scale, as economists predict on average in Karger and others (2026), the labor share of income could decline and the tax base could shift from labor toward capital and intangible assets. The revenue consequences would be larger where capital is taxed more lightly than labor income, which is often the case. Conversely, digital technologies can strengthen revenue administration through improved exchange of information, pre-filled returns, mandatory e-invoicing, and the use of satellite imagery in property valuation (Amaglobeli and others, 2023; Grote and Wen, 2024).

AI and digitalization also complicate the taxation of corporate profits and cross-border services, requiring updated corporate income tax (CIT) frameworks and stronger cooperation. AI-related firms and

rents are concentrated in a small number of large economies, while market jurisdictions may seek taxing rights over value generated through local users and customers. This tension could intensify disputes over the allocation of taxing rights. Without coordinated adaptation, highly mobile profits from AI-intensive activities may shift toward lower-tax jurisdictions. The disrupting impacts of AI, including on tax competition, may initially be more pronounced in AEs, where exposure is greater. Developing economies, on the other hand, may be able to leapfrog legacy systems, including in government operations and tax administration. The priority is therefore twofold: adapt tax rules to increasingly digital and intangible activity, and use technology to make administration more efficient, data-driven and service-oriented.

Geoeconomic Transition (Power)

The global and regional economic landscape is being shaped by deepening trade integration and rising geopolitical fragmentation. Asia and the Pacific have been at the forefront of integration in trade, investment, and supply-chain networks, supported by regional agreements such as the Regional Comprehensive Economic Partnership (RCEP) and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). At the same time, geopolitical tensions, supply-chain reconfiguration, and strategic competition among major economies are changing trade and investment patterns, with consequences for growth, productivity, and fiscal revenue.

International tax cooperation has advanced through the OECD/G20 Base Erosion and Profit Shifting (BEPS) Project and the agreement on a Global Minimum Tax. Networks for exchanging tax information, including the automatic exchange of information (AEOI) and the Common Reporting Standard (CRS), have also expanded significantly. Implementation nevertheless remains uneven, while the design and application of the current Pillar Two agreement may leave scope for renewed tax competition.

Geoeconomic fragmentation, including restrictions on immigration, trade, and investment, could reduce and complicate tax bases by weakening growth and cross-border activity, reconfiguring supply chains, and increasing incentives for tax competition and profit shifting. Greater flows of ideas, goods and services, capital, and people, by contrast, can support productivity and growth while strengthening the case for multilateral frameworks, including further tax cooperation. For tax administrations, fragmentation raises the value of timely information exchange, coordinated risk management, and cooperation on cross-border compliance. For tax policy design, it underscores the importance of robust domestic bases that are less vulnerable to the relocation of mobile profits and activities, such as consumption and real properties.

Climate Transition (Planet)

Asia and the Pacific account for approximately 60 percent of global greenhouse gas emissions, up from 42 percent three decades ago (UNESCAP, 2024). Observed warming, more intense extreme weather, and sea-level rise pose particularly severe risks for Pacific Island and coastal economies. ADB (2024) estimates that under a high-emissions scenario, annual GDP losses in developing Asia and the Pacific could reach 17 percent by 2070 and 41 percent by 2100. Aligishiev and others (2022) estimate average global public adaptation needs at about 0.25 percent of world GDP a year.

Climate change and the transition to low-carbon growth will affect tax bases through several channels. Physical risks may erode the profitability of climate-vulnerable sectors, including agriculture and tourism. Effects on property tax bases will vary by location as climate exposure is capitalized into land and property values. As emissions move toward net zero, revenues from emissions-based taxes will eventually decline. Likewise, the depletion or phase-down of fossil fuels and other natural resources will reduce revenues from extraction rights and related tax bases. In the nearer term, however, carbon pricing and the reform of fossil fuel taxation can support both mitigation and revenue objectives, provided distributional and competitiveness effects are addressed. Tax administrations play a critical role in implementing environmental taxes, carbon taxes, and green fiscal incentives. At the same time, they must strengthen operational resilience to climate-related disruptions and natural disasters that may affect taxpayers and tax administration operations.

II. Stylized Facts and Analysis

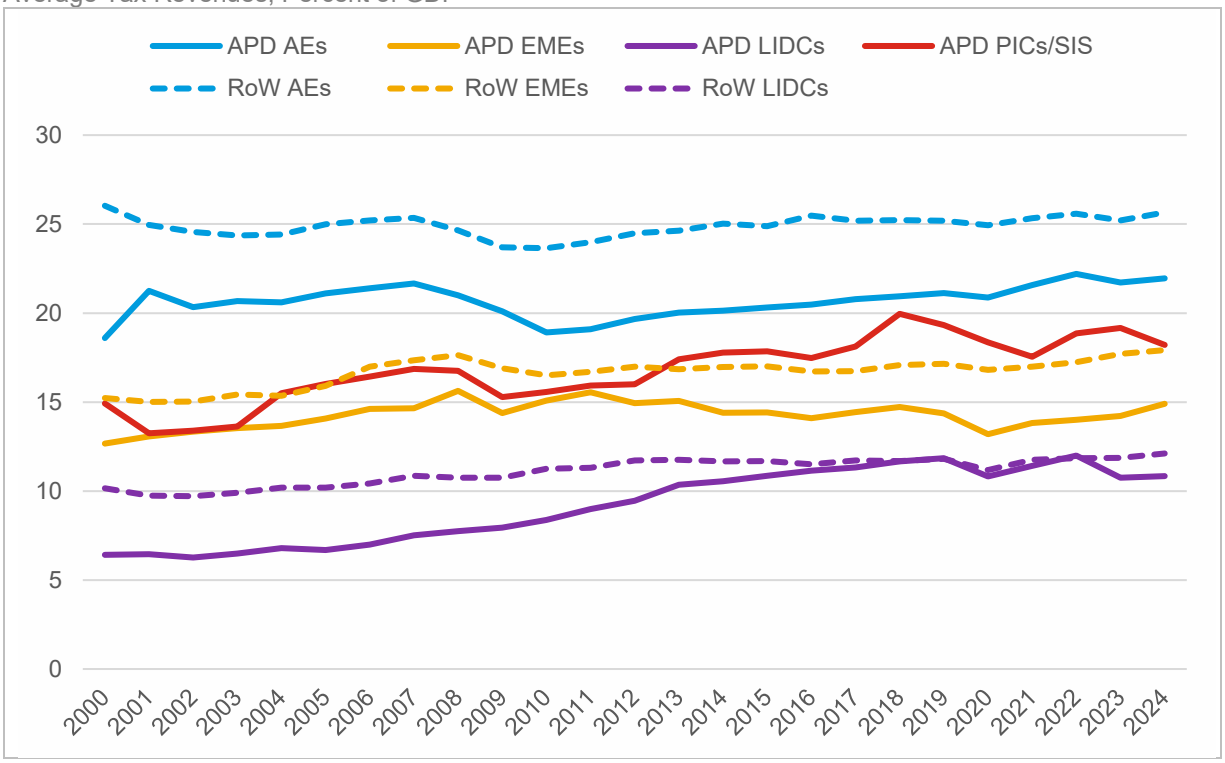
This section reviews tax systems in the region through three complementary lenses. It first compares tax revenue levels and composition, then summarizes key features of tax policy design, and finally analyzes the capacity of tax administrations across Asia and the Pacific. The section compares the region with global peers and highlights both the region's diversity and the scope for reform.

A. Revenue Performance and Tax Potential

Average tax-to-GDP ratios in Asia-Pacific countries are lower than in peer countries around the world (Figure 1).[4] This pattern holds among all income groups. Based on the IMF's WoRLD, in 2024 the average tax-to-GDP ratio in Asia-Pacific countries was 2.7 percentage points (pp) lower than in the rest of the world among AEs, 3.0pp lower among EMEs, and 1.3pp lower among LIDCs. Small island states (SIS, which in Asia-Pacific mostly consist of Pacific Island Countries, PICs) collect comparable levels of tax revenue to EMEs outside of Asia-Pacific. Of the Asia-Pacific countries included in 16 had tax-to-GDP ratios below the 15 percent threshold referenced in the *Compromiso de Sevilla* (UNGA 2025), including 3 with ratios below 10 percent.

[4] Tax revenue trends in this section are based on the IMF's WoRLD (see Sawadogo and others, 2026). Revenue data here is, in general, reported at the general government level. Trends differ somewhat from those reported by the OECD (2026), which includes countries in Central Asia and capture social security contributions (SSC), which are treated as a separate category in WoRLD.

Figure 1. Tax Revenues in Asia-Pacific and Comparators
Average Tax Revenues, Percent of GDP



Source: IMF WoRLD, IMF staff calculations.
Note: Figure shows unweighted average within each group based on an unbalanced sample. Brunei Darussalam, Hong Kong SAR, and Macau SAR are excluded.

These comparatively lower tax revenues in Asia-Pacific countries are persistent over time. Average tax revenues in advanced economies in Asia-Pacific have changed little over the past two decades, with the gap compared to peers in the rest of the world also stable. A similar pattern exists in EMEs, with levels relatively steady across the world compared to 2008. In LIDCs, tax revenues in Asia-Pacific countries have grown notably since 2000, starting from a low base, driven by increases in most countries in this group, with the largest and most consistent rises in Cambodia and Nepal. In this sample, average tax revenues now only lag slightly behind peers in the rest of the world. PICs/SIS increased their tax-to-GDP ratios by over 3pp over this timespan, on average.

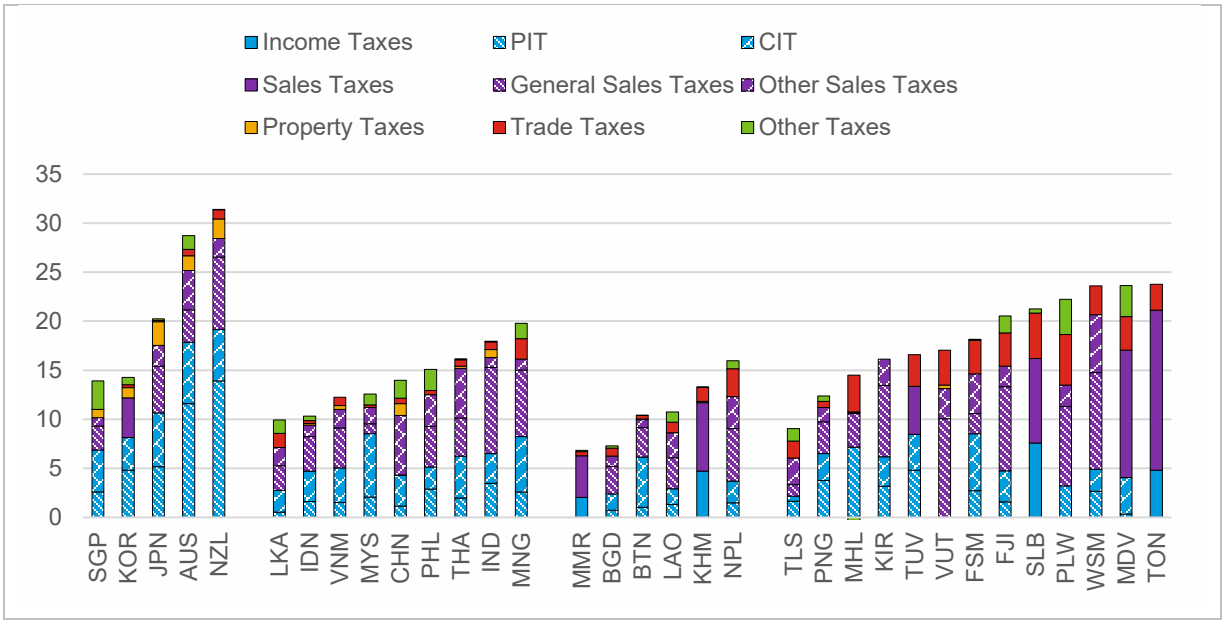
Nontax revenues vary widely in importance. Social security contributions are a major source of revenue in countries including Japan and China, while some countries in the region obtain notable fiscal resources from natural resources (Mongolia, Papua New Guinea), and grants remain sizable for many countries. However, in 2024 the share of overall government revenues coming from nontax sources averaged 29 percent in APD AEs, 27 percent in EMEs, and 31 percent in LIDCs. These averages are lower than in comparators in the rest of the world, implying that the overall revenue gap between Asia-Pacific countries and the rest of the world is larger than tax revenues alone suggest. The story is different in PICs/SIS, where nontax revenues are larger than tax revenues in a majority of countries, averaging a share of 57 percent in 2024. This is driven by grant revenue, as well as income from fishing licenses in many countries. The rest of this paper focuses on tax revenues specifically, however, which tend to be a more discretionary, durable and stable source of revenue.

The composition of tax revenue differs substantially across income groups—this is true in Asia-Pacific countries (Figure 2) and elsewhere. AEs in Asia-Pacific collect significant income tax revenue, with personal income taxes particularly important. Property taxes often also contribute notable revenue in AEs—sometimes contributing 2–3 percent of GDP when defined broadly[5]—but remain limited or nearly absent in much of the rest of the region. In EMEs and LIDCs, sales taxes tend to be the most dominant source of tax revenue, with income tax revenues leaning more on corporate income taxes. PICs/SIS remain distinctive: many have shifted over time from trade taxes toward sales taxes but still collect comparatively large amounts of trade tax revenue.

Country-level patterns are highly dispersed within income groups, however. Within each country grouping shown for Asia-Pacific, the ratio between the highest and lowest tax-to-GDP ratio is at least two, and revenue compositions diverge markedly. For example, in 2023 India collected as much revenue (as a percent of GDP) from sales taxes as Sri Lanka collected from all taxes, and while Laos and Bhutan had similar tax-to-GDP ratios, Bhutan collected twice as much from income taxes. Countries make very different choices about how much tax revenue they collect, and how they collect it.

Figure 2. Tax Revenue Composition in Asia-Pacific Countries

Tax Revenues, 2023, Percent of GDP



Note: Figure shows tax revenue as a percent of GDP from different tax types in 2023. Where available, data is shown separately for Personal Income Tax (PIT), Corporate Income Tax (CIT), general sales taxes (including VAT), and other sales taxes (including excise taxes). In such cases, other income taxes and unallocated taxes on sales and production enter Other Taxes. When breakdowns are not available, aggregate series for Income Taxes and Sales Taxes are used. The y-axis stops at zero, excluding one negative value.

Source: IMF WoRLD, IMF staff calculations.

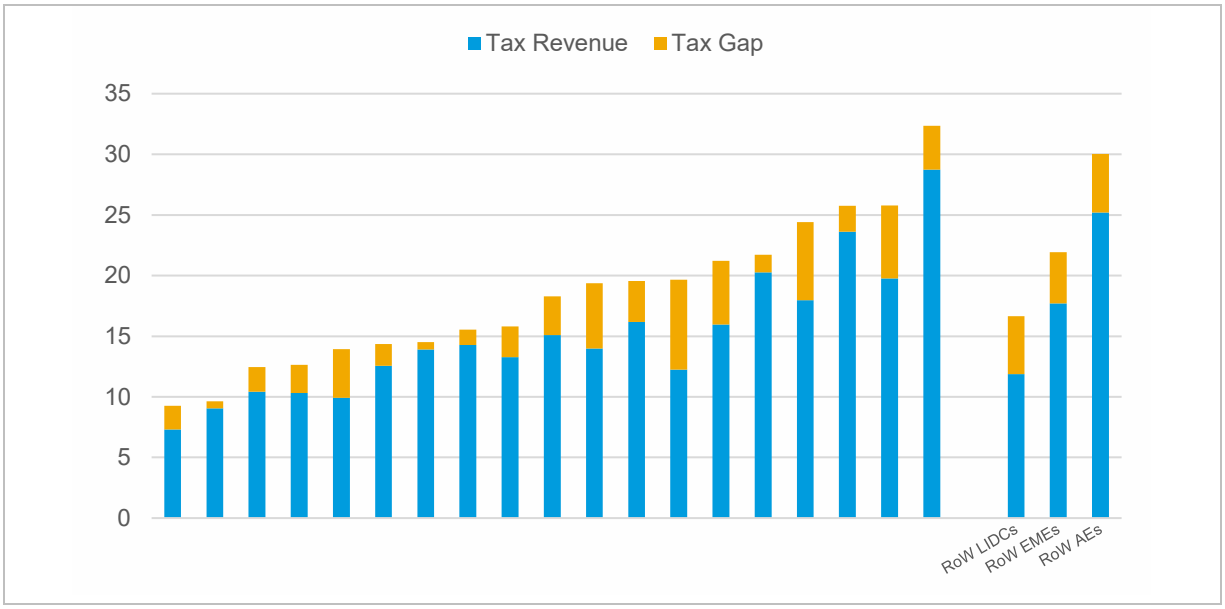
Tax potential estimates indicate that most countries in the region could significantly raise revenues with well-designed tax reforms (Figure 3). These figures are based on a stochastic frontier model that estimates the amount of total tax revenue a country could feasibly collect given its economic characteristics, based on the

[5] Property taxes here include taxes payable on the use, ownership, or transfer of wealth following the Government Finance Statistics Manual.

"frontier" observed among comparable nations (Benitez and others, 2023; Mansour and others, 2025).[6] Tax potential estimates provide for measures of "tax effort"—that is, actual tax revenue as a share of potential revenue. In AEs in Asia-Pacific, tax effort is generally 90 percent or more, but a typical range of 70-90 percent exists for EMEs and LIDCs. Increasing tax effort has the potential to meaningfully raise tax revenues in most countries through tax policy and administrative measures, with an average tax gap of over 3 percent of GDP in the 19 countries in Figure 3. Large tax gaps estimated using this method are persistent, and have grown in recent years in EMEs in Asia-Pacific, but they are not unique to the region. In the rest of the world, estimated tax gaps average between 4 and 5 percent of GDP.

Figure 3. Tax Potential Estimates in Asia-Pacific Countries

Tax Revenue and Tax Gap, 2023, Percent of GDP



Source: Mansour and others (2025), and IMF staff estimates.

Note: Figure shows tax potential estimates for Asia-Pacific countries using the methodology of Benitez and others (2023) and Mansour and others (2025) and data for 2023. Estimates are derived from a true random effects model with the following explanatory variables: GDP per capita and its square, agriculture as a share of GDP, trade openness, government effectiveness, and public sector corruption. See Annex 1 in Benitez and others (2023) for details. The right three bars show mean values for countries in the rest of the world by income grouping. Tax potential is the sum of actual tax revenues and the tax gap.

B. How Tax Policy Shapes Revenue, Equity and Efficiency

Tax policy choices fundamentally shape the revenue raised by governments as well as the impact of tax systems on economic growth and equity. Tax bases and rate structures vary substantially across countries and over time. Examining these design choices is therefore essential to understanding both observed revenue outcomes and the scope for reforms that raise revenue more efficiently and equitably. This section focuses on headline characteristics of VAT, CIT, and personal income tax (PIT) systems in Asia-Pacific countries, which collectively account for around 60 percent of tax revenue in the region. More detailed treatments of selected tax policy issues are provided in Section III. Selected Areas for Reform.

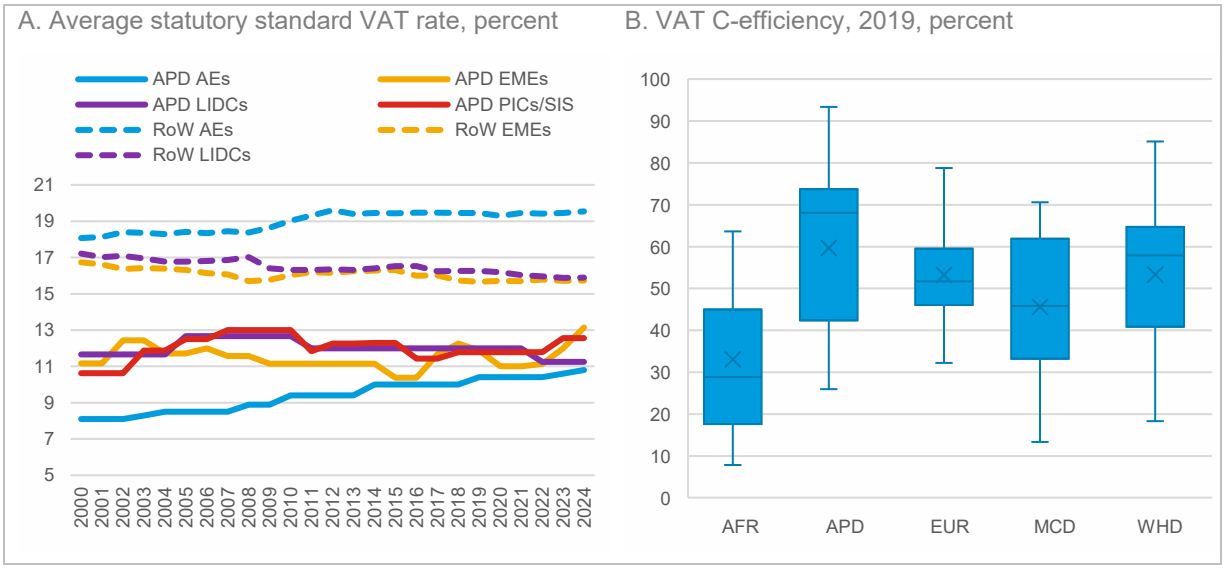
[6] The estimates are sensitive to the selected specification and thus should not be interpreted as precise values to guide policy targets at the country level. Rather, they offer a broad indication of long-term revenue mobilization potential given observed economic fundamentals.

Value-Added Tax

VAT rates show clear and persistent differences between Asia-Pacific countries and the rest of the world. Standard VAT rates in Asia-Pacific are lower across all country groups, but the gap is especially pronounced for AEs, where average tax rates in Asia-Pacific are only a little above 10 percent compared with close to 20 percent in the rest of the world (Figure 4A). APD EMEs have narrowed the gap somewhat, but rates remain below those of global peers; APD LIDCs also remain well below rest-of-world comparators.

VAT bases can vary across countries for several reasons. Reduced rates and exemptions, including for small businesses, both reduce the share of the economy to which the standard rate applies. Informality and noncompliance can lead to large parts of the economy remaining outside of the tax net. And ineffective refund systems can inflate the tax base by imposing taxes on exports, investment, and intermediate inputs. VAT C-efficiency captures all these factors in one metric, showing actual VAT revenues as a percentage of potential revenues if a single-rate VAT with full compliance was in place. This metric shows wide variation across countries but does not suggest that VAT bases in Asia-Pacific are narrower than in the rest of the world (Figure 4B). In fact, among the countries with available estimates, the mean and median values are slightly higher in Asia-Pacific than in other regions.

Figure 4. VAT Policy Indicators



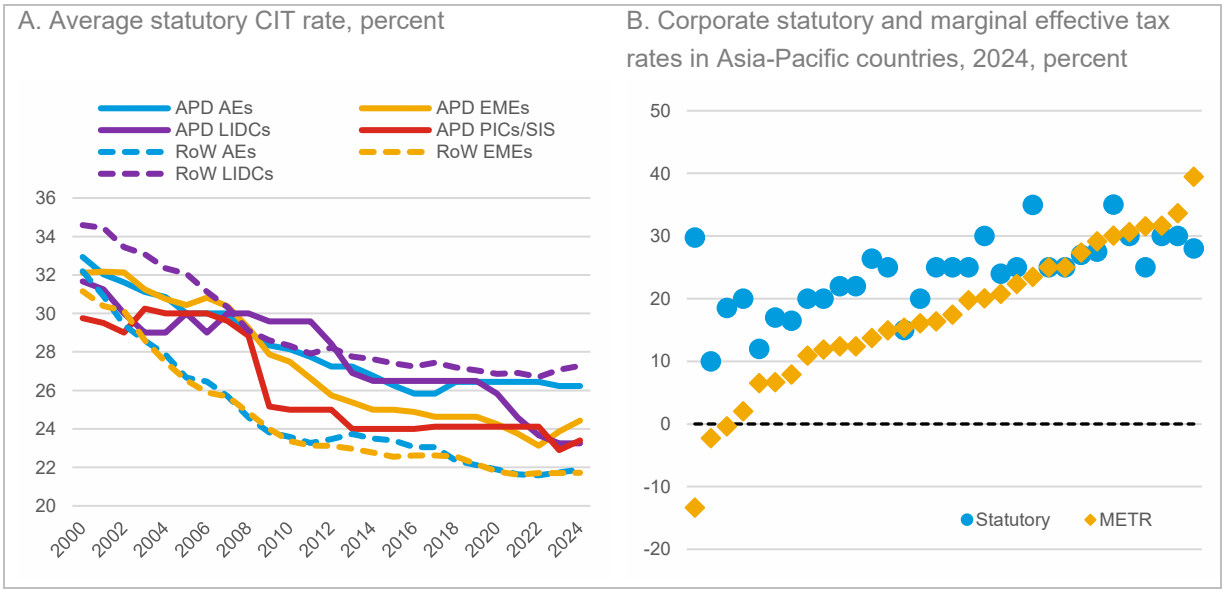
Source: IMF Global Tax Policy Rates Database, IMF WoRLD, World Development Indicators, IMF staff calculations.
Note: Left figure shows unweighted average within each group based on an unbalanced sample. Brunei Darussalam, Hong Kong SAR, and Macau SAR are excluded. Right figure shows box plot of estimated VAT C-efficiency using 2019 data; the APD sample includes 13 countries, and outlier values are excluded.

Corporate Income Tax

CIT rates in Asia and the Pacific have declined since 2000, broadly mirroring the global trend toward lower statutory rates (Figure 5A). The regional pattern, however, varies across country groups. APD AEs have reduced rates more gradually than their peers elsewhere and now stand well above the rest-of-world average, while APD EMEs have moved largely in parallel with peers with the rest of the world, on average. APD LIDCs have also reduced CIT rates in a similar manner to peers, but with some divergence below the comparator mean in recent years. The direction of reform has therefore been similar to the rest of the world, but the resulting levels differ: in Asia-Pacific, statutory CIT rates remain comparatively high in AEs, while LIDCs sit below peer averages.

Arguably, a more economically meaningful CIT indicator is the Marginal Effective Tax Rate (METR). This combines statutory tax system rules regarding both the tax rate and the tax base (i.e., treatment of capital and financing expenses) to measure the percentage increase in the required pre-tax return that taxation imposes on an investment that just breaks even pre-tax. It thus indicates the extent to which CIT systems disincentivize investment. As Figure 5B shows, the correspondence between statutory CIT rates and the METR is partial at best: the METR can even be negative, implying that marginal investments are subsidized by the CIT system (for instance, because of accelerated depreciation combined with the deduction of nominal interest in a context with a high share of debt financing). Several countries in Asia-Pacific show that it is possible to pair typical statutory CIT rates with base provisions that ensure that marginal investments are taxed substantially less. Such an approach ensures that profitable projects and firms appropriately contribute to public revenues while minimizing investment disincentives.

Figure 5. CIT Policy Indicators



Source: IMF Global Tax Policy Rates Database, Hebous and Mengistu (2026), IMF staff calculations.
Note: Left figure shows unweighted average within each group based on an unbalanced sample. Brunei Darussalam, Hong Kong SAR, and Macau SAR are excluded. The right figure shows the statutory CIT rate and estimated Marginal Effective Tax Rate for Asia-Pacific countries in 2024. The METR is calculated as an unweighted average of country-sector-year METRs as in Hebous and Mengistu (2026), assuming a fixed macroeconomic scenario across countries.

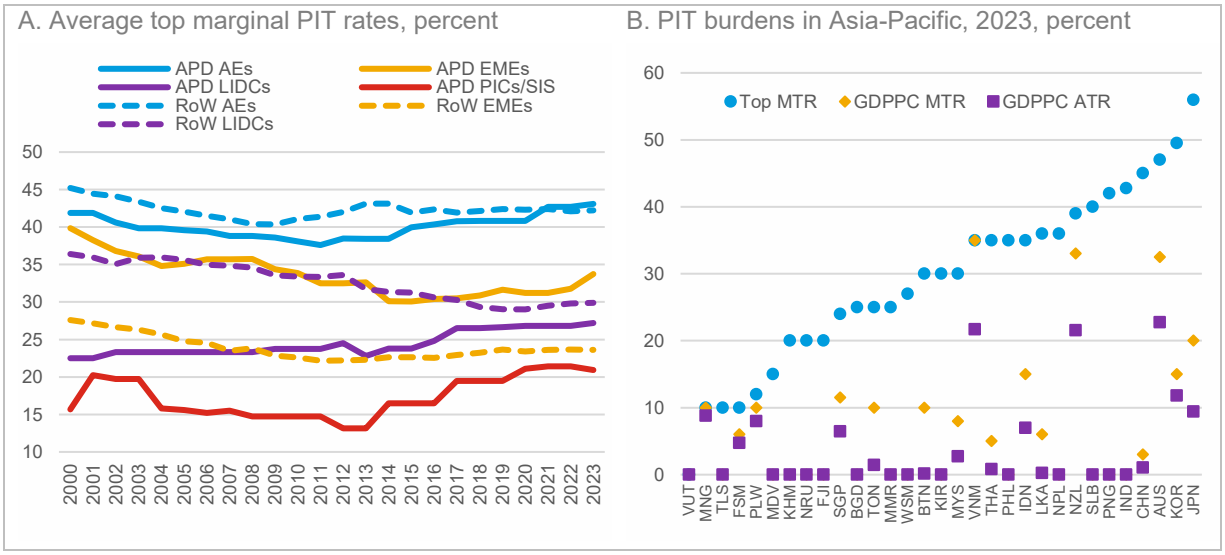
Personal Income Tax

Top marginal PIT rates display a more mixed regional pattern. APD AEs' top rates are broadly comparable to those in other AEs, while APD EMEs stand out for having substantially higher top statutory rates than their global peers (Figure 6A). In contrast, APD LIDCs and PICs/SIS economies have increased top rates somewhat over the last 15 years but still tend to remain below rest-of-world comparators.

In practice, top statutory rates provide only a partial picture of PIT design. The income thresholds at which different tax rates apply and the underlying income or salary distribution determine the overall burden of the tax system across the population and impact the resulting tax revenue. Alongside the top marginal PIT rate, Figure 6B shows the marginal and average tax rates applying to an individual earning an annual salary of GDP per capita in Asia-Pacific countries in 2023. Unsurprisingly, these rates are considerably below the top rate, and there is wide variation in the burden of PIT systems at GDP per capita. On average, however, marginal and

average PIT rates are relatively low at this level in the region. In fact, the average and marginal rates are zero for 14 of 32 countries shown at GDP per capita, implying a tax-free threshold above the average income.

Figure 6. PIT Policy Indicators



Source: IMF Global Tax Policy Rates Database, IMF World Economic Outlook, IMF staff calculations.

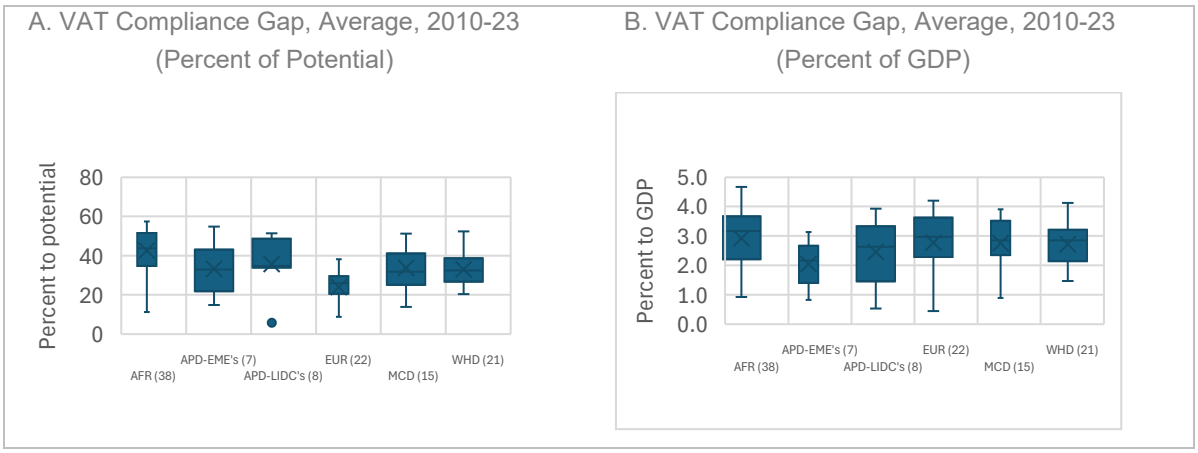
Note: Left figure shows unweighted average within each group based on an unbalanced sample. Brunei Darussalam, Hong Kong SAR, and Macau SAR are excluded. Right chart shows Marginal Tax Rate (MTR) and Average Tax Rate (ATR) of PIT systems at the top of the progressive schedule and at GDP per capita (GDPPC). Top marginal rates include central government taxes, surtaxes and levies on employment income plus subnational PITs. GDPPC values use only the central government schedule applying to employment income.

C. Administrative Capacity as a Constraint on Revenue Mobilization

Effective and efficient revenue administration matters not only for collecting taxes, but also for fairness, compliance burdens, trust, and for supporting a level playing field for firms—especially for Micro, Small, and Medium Enterprises (MSMEs) that account for an average 97 percent of all enterprises and 69 percent of the national labor force in Asia-Pacific (UNESCAP, 2022). Effective administration rests on clear laws, sound governance, adequate funding, skilled staff, modern technology, and credible enforcement. These foundations encourage voluntary compliance through simpler processes, taxpayer education, and third-party reporting. Where voluntary compliance is insufficient, risk-based audits and sanctions are needed to protect the integrity of the system (IMF, 2025a).

A useful starting point for analyzing the effectiveness and efficiency of revenue administration is by looking at the estimated compliance gap. The most commonly measured is the VAT compliance gap, which is the difference between the theoretical VAT liability (VAT that should be collected under existing tax legislation assuming full compliance) and actual VAT revenue collected. Top-down estimates for more than 110 countries over 2010–23 show that APD EMEs and LIDCs have average VAT compliance gaps of around 30–40 percent of potential VAT, placing them in the mid-to-upper range of the global distribution (Figure 7A). In GDP terms, the gaps average around 2 to 2.5 percent. This partly reflects comparatively lower VAT rates in the region, which mitigate the magnitude of the gap measured in terms of GDP (Figure 7B). Baer and others (2025) show that even moderate improvements in administrative performance could yield meaningful reductions in the compliance gap and, therefore, revenue.

Figure 7. VAT Compliance Gaps



Sources: Barra, Patricio, and Polina Prokof'yeva, 2025.

Another useful high-level indicator for measuring the effectiveness and efficiency of revenue administration is the Operational Strength Index (OSI). The OSI is a composite index that ranges between 0 and 1 and is based on the International Survey on Revenue Administration (ISORA). The survey assesses tax administration practices, institutional frameworks, and structural foundations across more than 160 countries, using 193 survey questions. The aggregate OSI is derived from these underlying scores.[7] Higher OSI scores indicate stronger institutional capacity. Empirically, the index is positively associated with better compliance and revenue performance (Atsebi and others, 2025). The IMF's Revenue Assessment and Yield Tool (RAYT) uses those estimates to infer the impact of administrative improvements as measured by the index. It suggests that, under medium- to long-term reform scenarios, a reform-induced 0.1 increase in the OSI raises revenue by about 0.9 percentage point of GDP on average in APD economies.[8]

Capacity Gaps in Asia and the Pacific

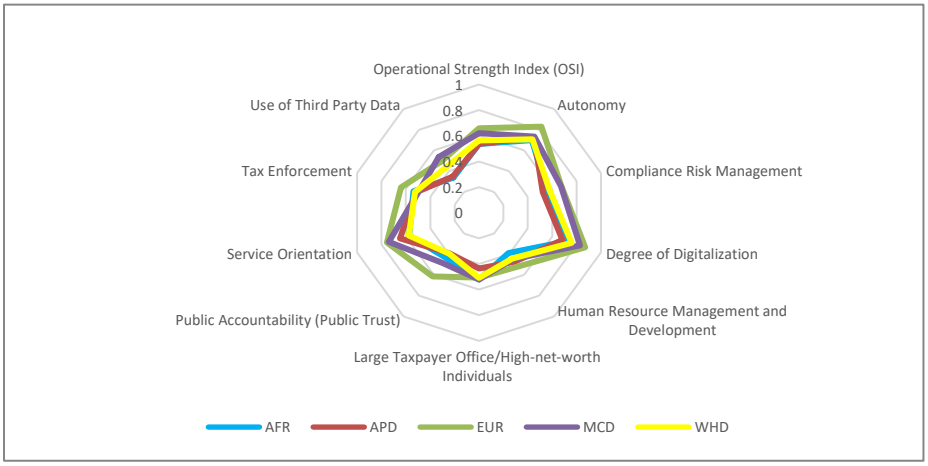
The average OSI for APD countries is 0.53 out of 1. This is the lowest level among all regions. Across the nine OSI sub-indices that underlie the aggregate OSI, Figure 8 shows that APD countries record the lowest score in

[7] The 193 survey questions of ISORA are grouped into the following nine subindices: autonomy, compliance risk management, degree of digitalization, human resources management and development, LTO and HNWI, public accountability, service orientation, tax enforcement, and use of third-party data. The OSI is a weighted average of those nine subindices.

[8] The average OSI increased by about 0.05 between 2017 and 2022.

four areas: (i) compliance risk management, (ii) digitalization, (iii) large taxpayer office (LTO) and high-net-worth individuals (HNWI) operations, and (iv) public trust.[9] Aside from these, APD countries also have relatively weak scores on tax enforcement and use of third-party data.

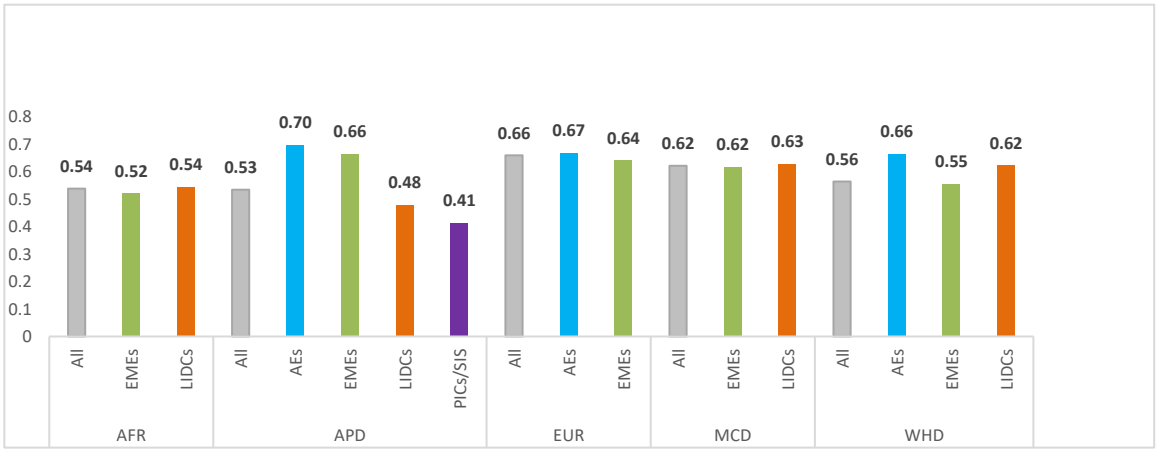
Figure 8. Operational Strength Index by Regions in 2022



Sources: RAYT and ISORA 2023.

There is a sharp capacity divide within APD economies. AEs and EMEs in the region have relatively strong tax administrations, reflected in an OSI of, respectively, 0.7 and 0.66. This is higher than in other regions. In contrast, LIDCs and PICs/SIS lag behind with an index that is well below 0.5. Figure 9 points to a relatively large divide in institutional capacity across the APD region, with especially weak performance in both LIDCs and PICs/SIS.

Figure 9. Overall Operational Strength Index across Regions by Income Groups in 2022



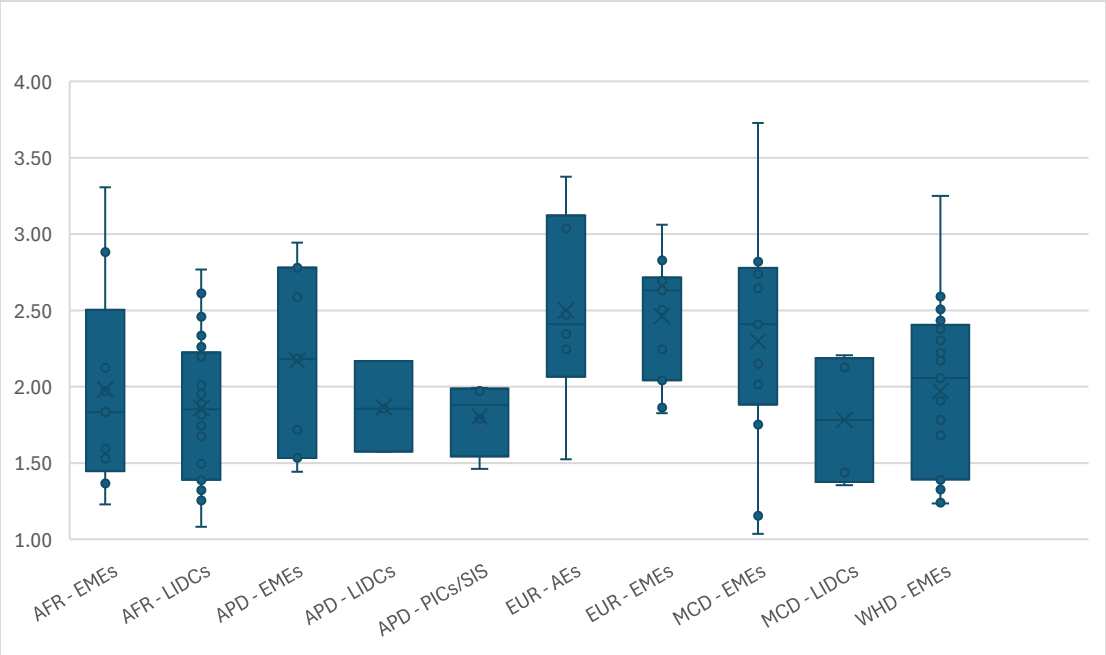
Sources: RAYT and ISORA.

Another indicator to measure the performance of tax administrations is based on TADAT assessments. TADAT is a standardized diagnostic framework, applied in over 113 countries, that objectively assesses tax

[9] RAYT uses the term "public accountability", where the ISORA index uses the term "public trust". This paper follows the latter terminology for consistency.

administration performance across nine performance outcome areas (POAs) using 32 indicators. Results are scored on a scale from A (4, representing good international practice) to D (1, indicating weak performance). TADAT enables international benchmarking due to cross-country comparability and reform prioritization by comparing indicators. Insights from the TADAT scores are consistent with results from ISORA and the OSI. APD EMEs are in the middle of the regional distribution—below EUR and MCD EMEs but above WHD and AFR EMEs. In contrast, APD LIDCs and PICs/SIS are clustered at the lower end, underscoring a clear divide in institutional capacity within the region (Figure 10).

Figure 10. Overall Tax Administration Performance by Regions



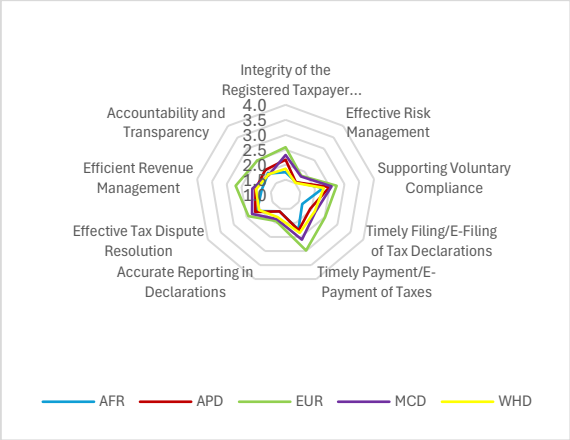
Source: Authors' calculations based on TADAT database 2014-25.

Functional Building Blocks of Tax Administration

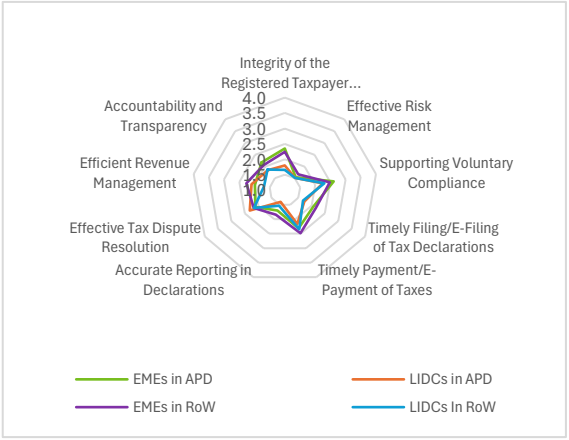
Figure 11 shows average TADAT scores in 9 POAs across regions and income groups. We see that APD EMEs and LIDCs perform relatively better in taxpayer-facing functions but lag in core compliance operations. For instance, the TADAT scores suggest that APD countries are comparatively well developed in taxpayer registration, taxpayer services, and dispute resolution. However, important weaknesses remain in areas such as compliance risk management, accurate reporting, timely filing and e-filing, and timely payment and e-payment, including arrears management (Figure 11A). APD LIDCs have lower scores compared to EMEs in the region in registration quality, taxpayer service response times, timely filing and e-filing, timely payment and e-payment, and accountability, including internal assurance (Figure 11B).

Figure 11. Performance by Regions and Income Groups

A. Performance by Regions



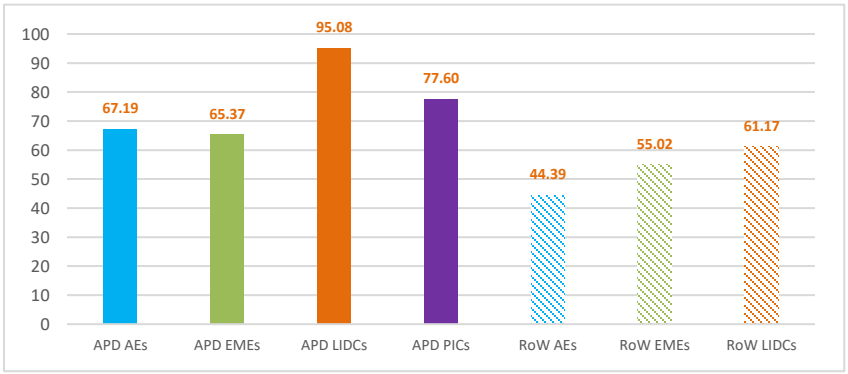
B. Performance by Income Groups



Source: Authors' calculations based on TADAT database 2014-25.

A specific weakness in APD countries is arrears management. Using ISORA data, Figure 12 suggests that a relatively high share of APD arrears is classified as collectable, [10] pointing to scope for stronger recovery and arrears-management strategies. This is observed across all income levels. The pattern is consistent with the TADAT evidence on weak timely payment and arrears management.

Figure 12. Closing Stock of Collectable Arrears as Percentage of Closing Stock of Arrears, 2018-24 (Median)



Source: ISORA 2025.

Workforce Capacity and Functional Allocation

APD tax administrations are generally lean in terms of human resources—reflecting an efficient organization and productive staff—but LIDCs and PICs/SIS are notable exceptions. APD AEs and EMEs operate with fewer

[10] Collectable arrears are defined as the total amount of core tax, including interest and penalties, that is overdue for payment and which is not subject to collection impediments. Collectable arrears therefore generally exclude: (a) amounts formally disputed by the taxpayer and for which collection action has been suspended pending the outcome, (b) amounts that are not legally recoverable (e.g., debt foregone through bankruptcy), and (c) arrears otherwise uncollectable (e.g., the debtor has no funds or other assets).

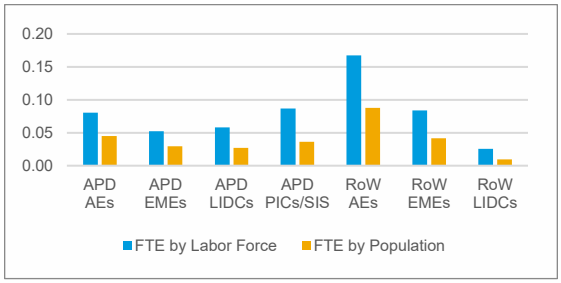
staff relative to the labor force and population than their global peers—about half the ratio in AEs and 60–70 percent in EMEs. This likely reflects, at least in part, the APD AEs and EMEs relatively advanced adoption of digital technologies and automated processes, discussed later in the paper. By contrast, APD LIDCs report staffing ratios two to three times higher than comparable countries elsewhere. While PICs/SIS show a similar pattern, this likely reflects very small populations combined with fixed staffing needs for revenue authorities to function (Figure 13A).

Staff tenure patterns also vary significantly across APD, with PICs/SIS having the lowest ratio of experienced staff. APD AEs have a less experienced workforce than peers outside APD, with more staff under five years of tenure and fewer above 20 years. By contrast, APD EMEs and LIDCs retain more long-tenured staff, with APD LIDCs reporting twice the peer of staff above 20 years of service. PICs/SIS face the sharpest challenge, with only 11.8 percent of staff above 20 years of tenure and 30 percent below five years (Figure 13B). These patterns point to knowledge-transfer risks in APD AEs and PICs/SIS, and succession-planning needs in EMEs and LIDCs.

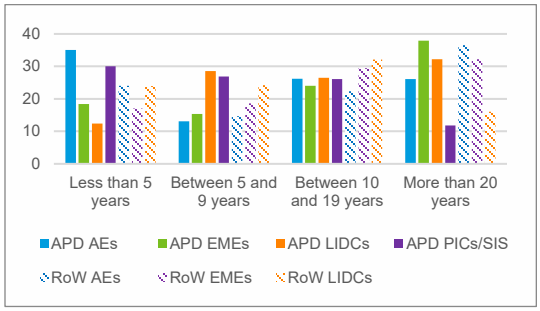
APD AEs and EMEs are more service-oriented, while EMEs and LIDCs allocate less staff to debt collection and information and communication technology (ICT) support. Figure 13C shows APD AEs allocate 47.4 percent of staff to registration, taxpayer services, and payment processing, compared with 26 percent in AEs outside APD. APD EMEs show a similar pattern. By contrast, APD LIDCs place greater emphasis on audit and non-core functions. PICs/SIS stand out for the highest allocation to debt collection and ICT support in the region, while APD EMEs and LIDCs allocate less to these functions.

Figure 13. Human Resources in Tax Administrations in 2024

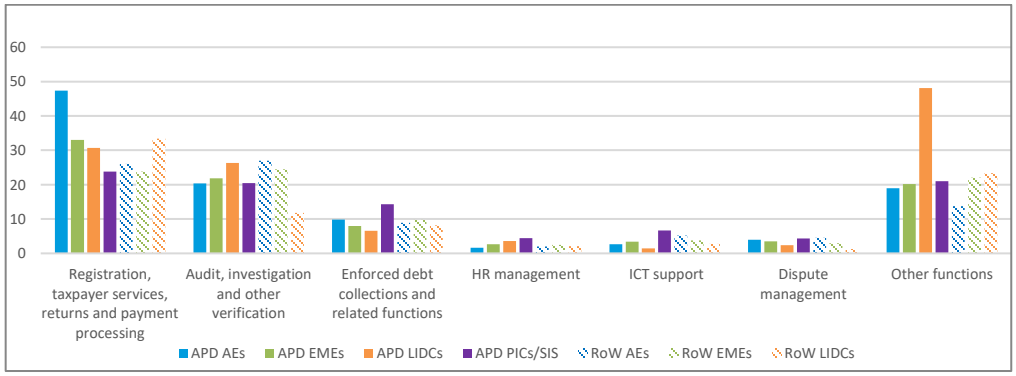
A. Proportion of Full-time Equivalents



B. Percent of Staff Tenures



C. Percent of Staff in Various Functions



Source: ISORA 2025.

Note: Other functions is defined as all other support or operational activities (e.g., organization planning, finance, tax policy and legislation, accommodation management, internal audit, media and public relations, supplies, and security) required for the conduct of tax administration operations.

III. Selected Areas for Reform

This section examines five areas for tax system reform in Asia and the Pacific: VAT, corporate income tax incentives, recurrent property taxation, and digitalization and public trust in tax administration. There are several other areas to improve revenue mobilization in Asia and Pacific, but these are not specific for countries in the region but rather more generally apply to all countries in the world (for an overview, see e.g., Baer and others, 2025). Some of these are explored in greater detail in the context of Asia in other studies, such as in Stotsky and Jaber (2025) who focus on PIT, and ADB (2025) which addresses issues in taxing informal and hard-to-tax sectors. The issues that are the focus here are based on selected comparative weaknesses of Asia and Pacific countries relative to the rest of the world. Reforms in each area could meaningfully raise revenues

while also improving other aspects of tax policy design and administration, such as equity, efficiency and administrability. Selected country case studies illustrate concrete reform examples.

Reforms to VAT, CIT incentives, and recurrent property taxation (subsections A to C) all offer sizable revenue potential in Asia and the Pacific at comparatively low efficiency costs, and can thus build fiscal resources and sustainability to respond to the structural forces discussed in Box 1. Low VAT revenues are persistent in Asia-Pacific economies, while CIT incentives are widespread, and recurrent property taxes remain underutilized outside of the AEs in Asia. These relative weaknesses become more important as a result of structural transformations in the economy. In particular, if technological disruption or demographic change reduces labor income tax revenues, other taxes such as those on consumption, wealth, and capital will become relatively more important. Weakening multilateralism could also strengthen the case for destination-based taxation, including VAT and property tax. While non-exhaustive, these tax policy areas are thus considered both current and future options for reform in the region.

The focus on digitalization and public trust in revenue administration (subsections D and E) reflects their strategic importance for tax administration reform. ISORA, OSI, and TADAT indicators show that these are comparative weaknesses in Asia and the Pacific, particularly among LIDCs and PICs/SIS. They are also cross-cutting priorities: digital tools can strengthen registration, filing, payment, data matching, and risk-based compliance, while greater transparency, clearer taxpayer rights, service standards, and internal assurance can improve fairness and legitimacy. Core functions, such as risk management, reporting, payment, arrears collection, LTO/HNWI administration, and audit, are therefore not treated as separate priorities because they are closely embedded in, and can be advanced through, these broader agendas. The structural transitions also strengthen the case for improving digitalization and public trust. Demographic changes require administrations to serve more diverse taxpayer segments through accessible, user-friendly channels. Technological advancements create opportunities to improve compliance, service delivery, and institutional resilience, while also requiring stronger governance and capacity to address emerging risks, such as cybersecurity. Geoeconomic fragmentation and deeper regional integration could complicate efforts by revenue administrations to manage cross-border risks and protect tax bases.

A. Strengthening VAT as a Core Revenue Instrument

VAT has been rapidly adopted around the world and is the largest source of tax revenue for many governments.[11] Asia-Pacific countries are no exception in this regard, with 24 of 33 countries (73 percent) with available data operating such a tax as of 2025, though this adoption rate lags the global average of 88 percent. The take-up of VAT in PICs/SIS is slower, with 8 of 14 jurisdictions with a VAT in place in 2025. This regional pattern partly reflects the administrative and political economy challenges of introducing a multi-stage consumption tax in small, capacity-constrained economies, where legacy systems often rely more heavily on import duties, turnover taxes, or other simpler instruments. Nonetheless, VAT adoption continues in the region: this is an obvious avenue for enhancing revenue mobilization given the evidence of VAT's effectiveness in raising public revenues (Baer and others, forthcoming). This is true even for PICs, with Palau providing a recent case study. Palau introduced the GST in January 2023 as part of a wider tax modernization, including to replace distortionary gross revenue taxes. In the second year of implementation, the Palau GST already accounted for half of national tax revenue, illustrating that VAT can quickly become an effective revenue-raiser, even with small administrations.

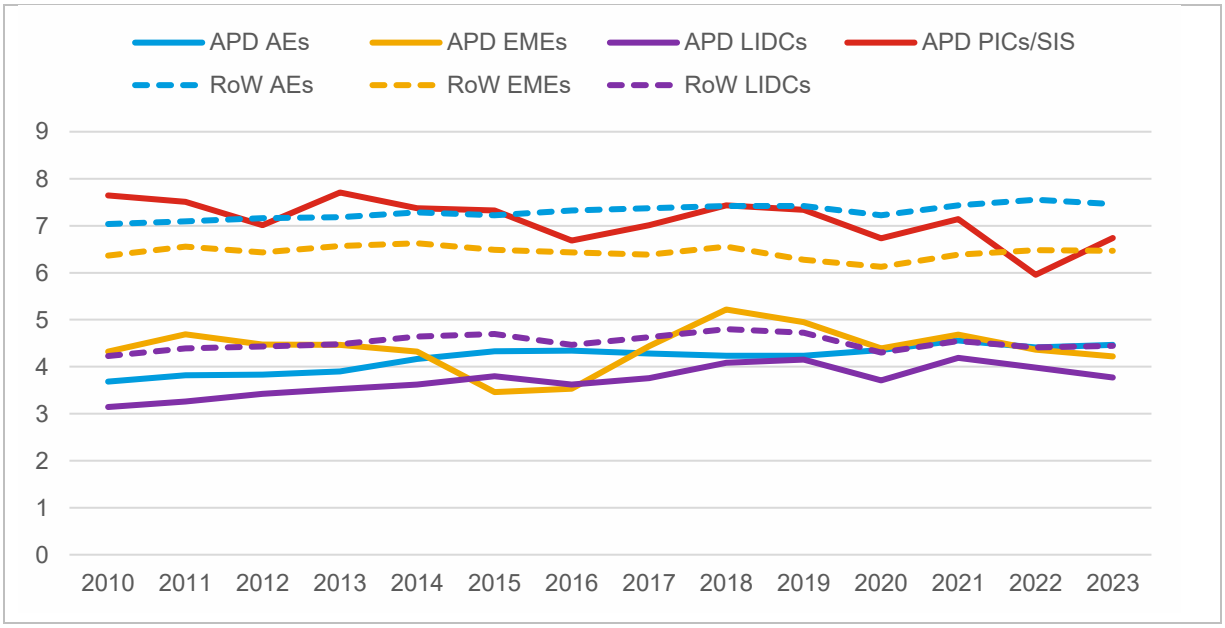
[11] VAT is used throughout this section to also refer to broad-based consumption taxes using input tax credits, including Goods and Services Taxes (GST).

Countries in Asia-Pacific that do levy a VAT raise substantially less revenue than comparators in the rest of the world. In 2023, the mean VAT-to-GDP ratio among 4 AEs in APD was 4.5 percent, compared to 7.5 percent in AEs in the rest of the world. In 8 EMEs, the Asia-Pacific average was 4.2 percent, and 6.5 percent in the rest of the world. In LIDCs, the 3-country APD mean of 3.8 percent compares to 4.4 elsewhere. The gap between Asia-Pacific countries and the rest of the world in terms of VAT revenues is a persistent trend (Figure 14).

PICs/SIS are an exception. In several, VAT or GST revenues are relatively high, likely reflecting the high importance of imports in these countries and the correspondingly large share of VAT collected at the border. Where taxation is concentrated at customs, enforcement is often simpler than in systems that rely more heavily on domestic compliance across large numbers of firms, enhancing VAT collection efficiency (Morrow and others, 2022).

Figure 14. VAT Revenues in Asia-Pacific and Comparators

VAT Revenues, Percent of GDP



Source: IMF WoRLD, IMF staff calculations.

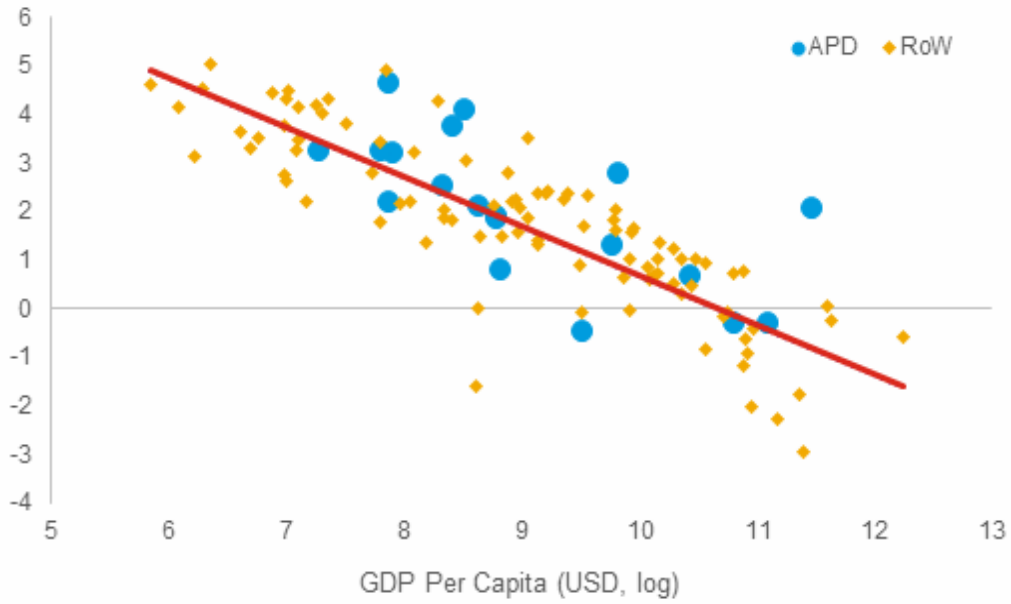
Note: Figure shows unweighted average within each group based on an unbalanced sample. Brunei Darussalam, Hong Kong SAR, and Macau SAR are excluded.

Globally, VAT systems and revenues are weakened by exemptions and rate differentiation. Reduced and zero VAT rates introduce distortions to consumption while being poor instruments for achieving distributional objectives, with richer households usually capturing much of the benefit (Bachas and others, 2024; Warwick and others, 2022). Exemptions have both effects but also introduce distortions to production by breaking the credit-invoice chain and leading to the taxation of production inputs. While comparable cross-country data on these design features is not available comprehensively, the existing data does not suggest that countries in Asia-Pacific use base-narrowing provisions more extensively than in the rest of the world. In fact, in 2025 among 24 countries with data in Asia-Pacific, 7 countries apply reduced or zero rates to some goods and services, whereas 60 percent of VAT systems outside of the region do so.[12]

[12] Based on the IMF Global Tax Policy Rates Database. This does not include information on VAT exemptions.

VAT bases are also narrowed by registration thresholds, which render VAT registration voluntary for businesses with sales falling below the threshold. These thresholds are intended to reduce compliance costs for taxpayers and administration costs for tax authorities, and they can serve this purpose well when calibrated carefully (Harju and others, 2019). However, they carry costs at the same time, creating production distortions through a segmented base and unrecovered input VAT, and reducing the size of the tax base (Gadenne and others, forthcoming). Setting the threshold thus needs to trade off these costs and benefits (Keen and Mintz, 2004). On average, Asia-Pacific countries tend to set relatively high registration thresholds: in 2024, 19 of 24 Asia-Pacific countries set a positive threshold, and among these the median threshold was 8.5 times GDP per capita. In the rest of the world, this ratio was 6. However, as Figure 15 shows, relative to national income levels, richer countries tend to set lower registration thresholds (Warwick and Nandi, 2026). Accounting for this global pattern, VAT registration thresholds in Asia-Pacific do not appear systematically different from those set in per country overall, although in several cases these thresholds are notably higher than what is typical at the corresponding national income level.

Figure 15. VAT Registration Thresholds and National Income
Log (Registration Threshold / GDP Per Capita) Versus Log (GDP Per Capita), 2024

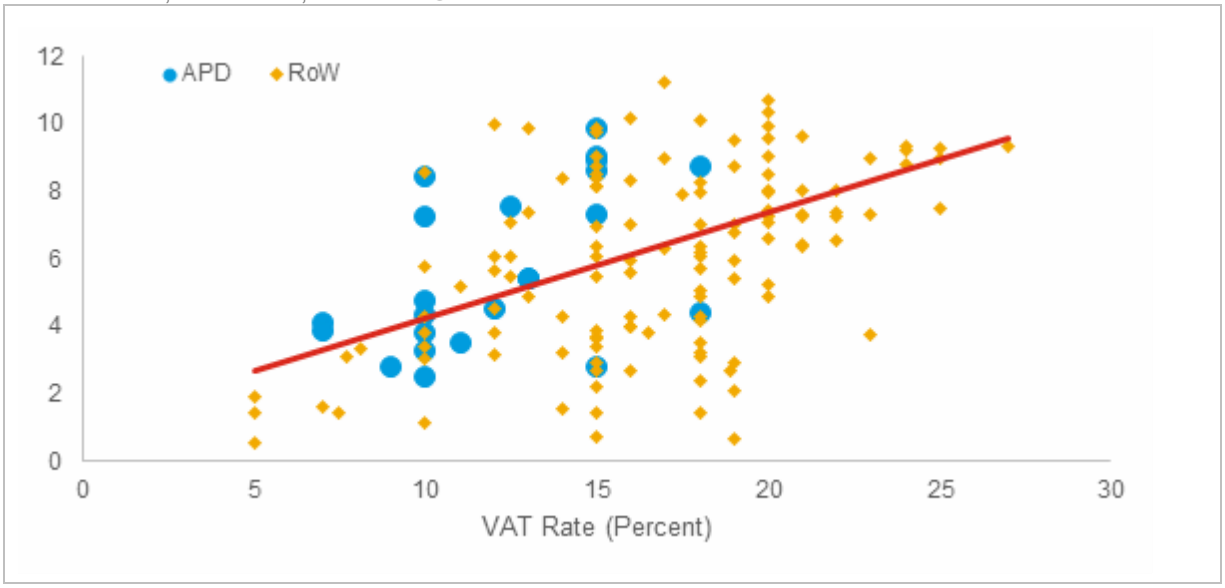


Empirically, standard VAT rates appear to be key in explaining differences in VAT revenues between Asia-Pacific and the rest of the world. Controlling for VAT rates removes any systematic differences in VAT revenue-to-GDP ratios between Asia-Pacific countries and the rest of the world. This can be seen graphically in Figure 16: observations below the trend line raise less VAT revenue than one would expect given their standard VAT rate, while the opposite is true for those above the line. Asia-Pacific countries, highlighted in blue, are clustered towards the bottom of both VAT rates and revenues, but do not systematically fall below the trend line. VAT productivity, which measures revenue as a percent of GDP per percentage point of the VAT rate, provides a way of quantifying where countries fall in this distribution. For Asia-Pacific countries, the value of this metric averages 0.47 in the latest available year, and 0.37 in the rest of the world.[13]

[13] The APD average falls to 0.42 when excluding PICs/SIS.

The mean (median) standard VAT rate in 24 APD countries is 12.3 (12.3) percent, compared with 16.7 (18) percent in the rest of the world. There are many determinants of aggregate VAT revenues, including policy (exemptions, reduced rates), administration (compliance, enforcement, refunds) and economic structures (consumption, informality, trade), as indicated by the substantial variation in VAT revenues across countries with the same standard VAT rate. However, this tax rate is an important driver of cross-country variation in revenues. In the cross-section, standard VAT rates can explain 23 percent of the variation in VAT revenue-to-GDP ratios observed across countries, rising to 32 percent after controlling for income group fixed effects.

Figure 16. VAT Rates and VAT Revenues
VAT Revenues, Latest Year, Percent of GDP



Source: IMF WoRLD, IMF Global Tax Policy Rates Database, IMF staff calculations.
Note: Line shows linear fit for all observations.

Asia-Pacific countries seeking substantial, sustainable, and relatively non-distortive sources of public revenue should therefore look closely at VAT, including the headline rate. Among the major tax instruments available to governments, a well-designed VAT is generally one of the most efficient ways to raise revenue, particularly when compared with taxes that cascade through production, or create stronger disincentives to work, save, or invest (De Mooij and others, 2025). VAT design can often be strengthened in revenue-raising ways, including through broader bases. However, in much of Asia-Pacific, where standard VAT rates remain low by international standards, moderate rate increases could in themselves offer a practical route to stronger revenue mobilization. Given observed country-specific measures of VAT productivity, increasing statutory VAT rates to the average in comparator countries in the rest of the world would imply an average revenue yield of 3.5 percent of GDP in APD AEs, 2.6 percent in EMEs, and 2.2 percent in LIDCs.[14] While this is a simple policy costing, it illustrates the scale of the revenue that may be raised via this reform route.

In practice, simply raising headline VAT rates is likely to be less effective in the lowest-income countries. Informality, weak compliance, and administrative constraints all attenuate the impact of statutory rates on actual revenue. Among LIDCs, the standard VAT rate explains very little variation in VAT revenue-to-GDP ratios, suggesting that base coverage and compliance are more important factors than the headline rate. Moreover, higher rates can widen the effective tax wedge between formal and informal firms, potentially

[14] This calculation includes 4 AEs, 6 EMEs, and 4 LIDCs. Two countries are excluded because their standard VAT rates exceed the average of comparators in the rest of the world (India and Sri Lanka).

discouraging registration and weakening the VAT's self-enforcing properties. This risk is less acute in PICs/SIS where a large share of VAT is collected at the border, reflecting that VAT can partly tax informal activity through imports and purchases from formal suppliers (Keen, 2007). For the lowest-capacity settings, the priority should therefore be to broaden the base, rationalize exemptions and thresholds, and strengthen compliance at customs and other upstream withholding points (Keen, 2013; De Mooij, Hebous, and Keen, 2025; Baer, Barra, and Benitez, 2025).

Common barriers to increased revenue mobilization with VAT are the distributional effects and associated political economy considerations. Unlike some other taxes, VAT is a broad-based tax, affecting purchasing power across the income distribution. There is also a widespread perception that it is a regressive tax, bearing proportionally more heavily on low-income households. Empirically, however, this perception is only supported when VAT is assessed against current income, which neglects the role of (dis)saving. A multi-year or lifecycle perspective typically finds that VAT is approximately distributionally neutral (Thomas, 2024; Warwick and others, 2022), while the income gradient of informal market purchases typically renders VAT definitively progressive in developing economies (Bachas and others, 2024). Notwithstanding, the distributional effect of VAT (or any tax/benefit) should not be viewed in isolation: what matters is the broader tax-and-transfer system, and how this collectively meets a country's fiscal, distributional, growth, and other objectives.

Some Asia-Pacific countries are now better placed to manage these distributional concerns than in the past because of the expansion of social protection systems and digital payment infrastructure. Between 2015 and 2023, the share of the population in Asia-Pacific covered by at least one social protection benefit grew from 39 percent to 54 percent (ILO, 2024). While this implies that significant gaps remain, this direction of travel creates greater scope to offset the burden of higher VAT on low-income households through targeted transfers. India provides one prominent example: its Direct Benefit Transfer system, supported by the Jan Dhan-Aadhaar-Mobile architecture of bank accounts, digital identity, and mobile connectivity, was used to transfer emergency support to millions of people during the COVID-19 pandemic, showing how technology can enable large-scale, targeted compensation.

Further technological advances may even bring scope for real-time compensation mechanisms which allow governments to better overcome the political economy challenges with VAT. Even when the adverse impact of higher VAT on low-income households can in principle be offset through targeted transfers, VAT increases may still be perceived as unfair. Households often perceive the tax increase immediately, while the benefits of compensation may be less visible, delayed, or mistrusted. New technology may help narrow this gap, with real-time and targeted approaches making it increasingly realistic to operationalize a "progressive VAT" (Swistak and de la Feria, 2024), in which compensation is closely linked to the point of consumption. Thailand provides an instructive example of a reform attempt in this direction: during 2018-2020, the authorities implemented a scheme under which qualifying purchases made by holders of state welfare cards would generate a refund of the VAT paid, financed through the budget rather than treated as a conventional tax refund. The experiment was relatively short-lived, however, because overall utilization substantially lagged expectations. A likely reason for this is that in practice eligible households were relatively unlikely to purchase from VAT-registered businesses with the electronic payment infrastructure to generate rebates. This reflects the progressivity of VAT in countries with substantial informal sectors. Nonetheless, the proposal illustrates the technical feasibility of how digital payment and beneficiary-identification systems can in principle help make compensation more visible and more closely aligned with the tax burden, thereby easing resistance to VAT reform. As digital infrastructure develops further in the region, the feasibility of a "progressive VAT" will grow.

At the same time, VAT reforms should take account of the rapid growth of digital trade. A key priority is to ensure that cross-border digital services and platform-based transactions are taxed where consumption occurs,

including through clear place-of-supply rules, simplified registration and collection obligations for non-resident suppliers, and appropriate rules for platform operators. These reforms can help protect the VAT base while reducing risks of non-taxation and competitive distortions between domestic and foreign suppliers.

B. Rationalizing Corporate Income Tax Incentives to Protect the Tax Base

CIT incentives and expenditures are a common policy tool used to pursue varied policy objectives. Governments use CIT incentives to lower the tax burden on selected firms, projects, sectors, or locations to encourage investment. Investment may be targeted because it is expected to be responsive, brings positive externalities, or for redistributive reasons, for example. CIT incentives can take a range of forms, including tax holidays, reduced tax rates, investment tax credits and allowances, and capital cost recovery measures such as accelerated depreciation. A central distinction is between profit-based incentives, which reduce taxation once firms or projects become profitable (e.g., “patent boxes”), and cost-based incentives, which directly subsidize qualifying investment spending and are often regarded as better targeted to new investment.

International experience and evidence highlight that the efficacy of such policies is mixed at best and stresses several points of best practice. While tax incentives are varied and they may be effective in some cases, often they are redundant, with investments benefiting from preferential treatment that would likely have taken place anyway, while the associated revenue losses, distortions, and opportunities for avoidance can be substantial. As a result, disciplined policy design is crucial. Incentives should be used sparingly, be tightly targeted at clearly identified market failures or positive spillovers, and be evaluated against alternatives such as broad improvements in the investment climate or public spending measures. Where incentives are used, design should favor transparent, rules-based and cost-based instruments—such as investment allowances, tax credits, or accelerated depreciation—over open-ended profit-based incentives such as tax holidays, preferential rates, or loosely governed free-zone regimes, which are more prone to windfall gains, profit shifting, and extended erosion of the tax base (IMF, 2015; PCT, 2025). Good design also requires clear eligibility criteria, sunset clauses, regular review, and integration with the core CIT so that incentives remain coherent with wider tax policy. Effective governance and administration are also essential: incentives should be anchored in law rather than discretion, monitored through regular reporting and tax expenditure analysis, and supported by coordination between investment, finance, and revenue authorities to limit abuse and ensure that beneficiaries comply with their obligations (Pecho and others, 2024).

Available data suggests that countries in Asia-Pacific use more CIT incentives than in the rest of the world. Global and comprehensive information on tax incentives does not exist, partly reflecting their fragmented and sometimes opaque legislative bases. The OECD’s International Tax Incentives Database provides the most complete, comparable source of data on CIT incentives introduced in national-level legislation in developing and emerging market countries. This dataset, which covers 13 Asia-Pacific economies, identifies an average of 31 CIT incentives per Asia-Pacific country, compared with an average of 20 in the rest of the world (Figure 17A). The biggest driver of this average difference is CIT exemptions, which are comfortably the most common type of CIT incentive in Asia-Pacific, with more than double the average number of exemptions identified in Asia-Pacific as in the rest of the world.

Special economic zones are particularly prominent in Asia-Pacific and frequently rely on generous profit-based CIT incentives (Aliu and others, 2026). The region accounts for about two-thirds of all special economic zones (SEZs) globally, far more than any other region, with China and the Philippines hosting the largest numbers. Across SEZs worldwide, almost all provide CIT incentives: 64 percent offer full CIT exemptions or tax holidays to all firms in the zone, while a further 24 percent combine full exemptions for some firms with reduced

rates or partial exemptions for others. While the literature points towards some success stories among SEZs (Lu and others, 2019), the evidence suggests that profit-based CIT incentives do not play an important role in the success of SEZs. For example, Calì and others (2025) show causally that the removal of a CIT exemption for export-oriented firms in Tunisia, while other policies remained constant, did not affect the employment or revenue of incumbent firms. At the same time, these CIT incentives can generate substantial revenue losses and profit-shifting risks, and may simply displace investment from elsewhere in the economy. Ultimately, non-fiscal characteristics are more important to the success of SEZs, including infrastructure and utilities, logistics, customs processes, legal and regulatory frameworks, local labor markets, and market access. India's prospective phaseout of profit-based SEZ tax concessions, while retaining customs and administrative benefits, illustrates one approach to separating these functions (Box 2).

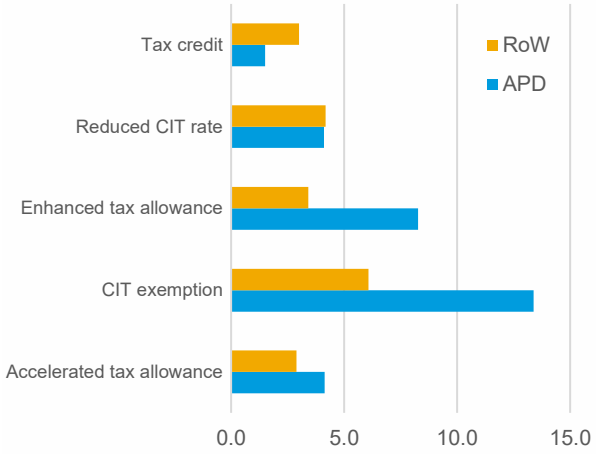
Tax expenditure (TE) reports published by Asia-Pacific governments confirm that CIT incentives are widespread and fiscally costly. Tax expenditure reporting is an important component of fiscal transparency, providing policymakers and the public with information on how revenue forgone from tax preferences is distributed—just as national budgets provide information on how public spending is allocated. A growing number of APD countries publish tax expenditure reports, and these confirm that CIT incentives—or more broadly, CIT expenditures (CITEs)—are common in the region, notwithstanding variation in the depth and quality of national TE practices.[15] The Global Tax Expenditures Database (GTED), which collates comparable information from publicly available TE reports around the world, includes data for 14 APD countries, of which 12 have reported on CITEs.[16] Among these, estimated revenue forgone from CITEs in the latest year available averages nearly 0.5 percent of GDP (Figure 17B). GTED records 263 individual CITEs for these countries, of which 50 are exemptions and 31 are reduced rates, with the aggregate estimated revenue forgone from these provisions USD 6.5 billion and USD 8.8 billion, respectively. These figures should be considered lower bounds on the true scale of revenue forgone from CITEs. The scope of provisions costed in TE reports can vary for several reasons, including how the benchmark tax system is defined, available data for costing, and the capacity of authorities to undertake the necessary analysis. As a result, usually some provisions will be excluded from the published figures.

[15] Tax expenditures are broader than tax incentives. Tax expenditures include all policy deviations from a defined benchmark tax system, whereas tax incentives are a type of tax expenditure that aim to encourage specific behaviors or investments.

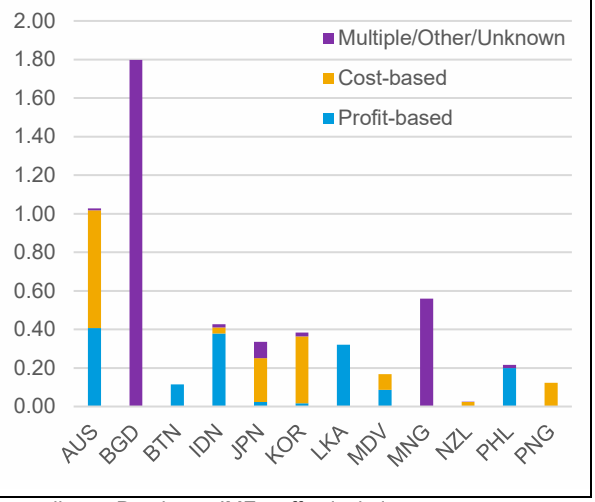
[16] The number of reports included from APD countries in GTED increased from 5 in 2010 to 13 in 2022.

Figure 17. Corporate Income Tax Incentives and Expenditures in Asia-Pacific

A. Average number of CIT incentives in national legislation, 2024



B. Revenue forgone from CIT expenditures, percent of GDP, latest year



Source: OECD Investment Tax Incentives Database, Global Tax Expenditures Database, IMF staff calculations.
Note: Left chart shows the average count of each number of CIT incentive identified in APD countries versus the rest of the world. Right chart shows total revenue forgone from CIT expenditures in national tax expenditure reports of APD countries using the latest tax expenditure report available for each country.

In many countries, CIT incentives warrant review given persistent revenue needs, continued competition for mobile investment, and major changes in the international tax environment. Alongside structural revenue drivers, governments remain under pressure to attract foreign direct investment and promote strategic sectors in a context where neighboring countries often offer similar preferential regimes. This highlights the need for discipline in incentive design, evaluation and governance, to ensure that redundant or ineffective CIT incentives are reviewed and reformed. The Global Minimum Tax under the Global Anti-Base Erosion (GloBE) rules should accelerate this policy reappraisal, especially for large multinational enterprises, because incentives that reduce effective taxation below the minimum rate may simply shift revenue to other jurisdictions while leaving investment incentives unchanged. This strengthens the case to move further away from open-ended profit-based incentives and towards measures that are better aligned with real investment, such as carefully designed cost-based support, while also placing greater weight on non-tax determinants of investment—notably infrastructure, policy certainty, administrative simplicity, and the broader business environment. These developments strengthen the case for Asian economies to embed incentives within a coherent medium-term revenue strategy, assess them against explicit policy objectives, and ensure that any preferential treatment remains transparent, time-bound, and consistent with broader CIT reform.

Rationalizing CIT incentives could provide fiscal space to pursue national policy priorities. In some cases, this might include additional tax reforms in parallel to enhance competitiveness in different ways. For example, costly tax holidays could be transitioned towards more targeted and effective cost-based measures delivering additional investment at a lower fiscal cost. Countries could also pursue reforms to statutory tax systems, both within CIT and elsewhere. The Philippines provides one example of combining incentive rationalization with a lower statutory CIT rate, while Singapore illustrates how support can be redesigned in response to the Global Minimum Tax (Box 2).

Box 2. Reforming CIT Incentives: Selected Asian Experiences

India: phasing out profit-based SEZ incentives.

India's SEZ framework initially combined customs and administrative facilitation with long-lived profit-based income tax concessions. Eligible units received a 100 percent deduction for export profits for five years, 50 percent for the next five years, and a further deduction linked to reinvested export profits for another five years. Subsequent reforms progressively narrowed the fiscal component: the exemption from the Minimum Alternate Tax was withdrawn from April 2012 and the entry window for new units claiming the Section 10AA tax holiday closed from April 2021. Existing eligible units retained accrued benefits, while customs treatment, zero rating of supplies, and single-window procedures continued. This gradual sunset illustrates an example of reducing profit-based incentives while maintaining the wider SEZ framework. This shows that it is possible to separate the potentially useful non-tax features of SEZs—trade facilitation, infrastructure, and coordinated administration—from costly CIT relief, while protecting policy credibility through prospective rather than retroactive reform.

Philippines: CREATE and CREATE MORE.

The 2021 Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act reduced the standard CIT rate from 30 to 25 percent and introduced a more centralized, performance-based, and time-bound incentive framework. It retained income tax holidays but linked subsequent relief to either a 5 percent special tax on gross income for registered exporters or an enhanced deductions regime, with oversight strengthened through the Fiscal Incentives Review Board (FIRB). National tax expenditure estimates suggest that revenue forgone from profit-based CIT incentives declined from 0.7–0.8 percent of GDP during 2016–19 to 0.2 percent in 2022 and 2023. Although this does not by itself establish the causal effect of CREATE, it is consistent with a substantial narrowing of the measured fiscal cost following the reform. The 2024 CREATE MORE Act subsequently made the regime more generous and flexible: firms using enhanced deductions may apply a 20 percent CIT rate to income from registered activities; qualifying deductions were expanded; and eligible firms may elect the special rate or enhanced deductions from the start of commercial operations, with longer potential availment periods for projects approved by the FIRB. Intense regional competition for investment and developments with the Global Minimum Tax may both have contributed to these changes. The sequence illustrates both the scope for combining incentive rationalization with a broader CIT rate reduction and the political difficulty of sustaining strict rationalization when investment competition remains intense.

Singapore: adapting support to the Global Minimum Tax.

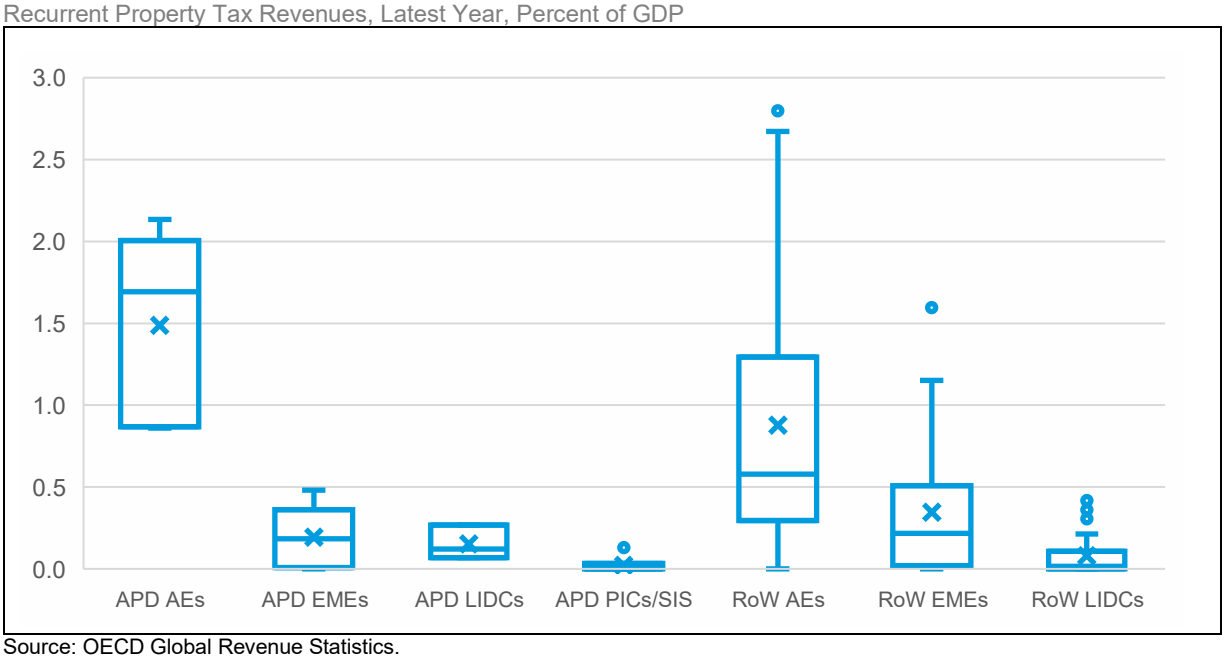
Singapore introduced the Refundable Investment Credit in its Budget 2024 to support large-scale investments that generate substantive activity, including productive capacity, headquarters and service functions, R&D and innovation, and decarbonization. The credit is calculated against qualifying expenditures and may offset CIT and domestic or multinational top-up tax; unused amounts are refundable in cash within four years. Its design is intended to qualify as a refundable credit under the GloBE rules, so that support does not reduce the jurisdictional effective tax rate in the same way as a conventional tax concession. Singapore therefore provides a forward-looking example of shifting investment support toward measurable expenditures and economic outcomes as the Global Minimum Tax weakens the value of profit-based incentives for large multinational groups.

C. Unlocking the Revenue Potential of Recurrent Property Taxation

Recurrent property taxation, which refers to taxes levied on an ongoing basis on (residential and commercial) land and immovable property assets, has several desirable features as a sustainable source of government revenue. It can be relatively efficient (because the supply of land is highly inelastic), progressive (because it is a form of wealth taxation), and enforceable (because it is hard to hide real property). In contrast, taxes on property transactions introduce larger distortions because they disincentivize transactions that would otherwise benefit both parties, damaging consumer welfare and economic mobility. Taxes on income derived from property should be covered in the tax base of income taxes.

Recurrent property taxes are an underutilized revenue source in many countries, including APD countries. The pattern of property taxation revenues in Asia-Pacific largely mirrors the rest of the world, with a strong income gradient. AEs collect notable amounts of revenue of around one percent of GDP at the mean, and this is slightly higher in the (small) APD AE sample. EMEs collect around a third of this level, on average, and APD EMEs collect even less. LIDCs tend to collect close to zero, and only one of three PICs/SIS with available data collects any at all. Based on the range of revenue yields observed globally, EMEs can feasibly target 0.5 percent of GDP or more from recurrent property taxes, while LIDCs may target a somewhat lower revenue yield in the range of 0.2–0.5 percent of GDP.[17]

Figure 18. Property Tax Revenues in Asia-Pacific and Comparators
Recurrent Property Tax Revenues, Latest Year, Percent of GDP



Source: OECD Global Revenue Statistics.
Note: Figure includes 125 countries, with 97 percent of observations from 2023 or 2024.

Beyond overall revenue mobilization needs, structural forces create a compelling case for strengthening property taxation in the region. A period of rapid internal migration and urbanization has transformed the demographic geography of many Asian states already, and this trend continues. Since 2000, the population of rural Asia is roughly unchanged, while that in cities has increased by more than 700 million, and towns by 370

[17] A few countries in the region collect more substantial revenue from other forms of property taxation, such as transaction taxes (including China and India, see (Figure 2). In such cases, the opportunity from recurrent property tax reform might be economic efficiency rather than additional revenues, given that recurrent property taxation is considerably less distortive.

million. Projections suggest that the rural population share will continue to decline in Asia (United Nations, 2025). Concurrent construction and development have spurred large increases in the value of land and property in many countries. For example, in South and Southeast Asia, national housing assets as a share of GDP rose from 172 percent of GDP in 2000 to 229 percent in 2024 (Alvaredo and others, 2024). Recurrent property taxes are a stable source of public revenue and often underpin the funding of local governments and the goods and services they provide, while also providing a means to redistribute the gains of growing property and land wealth.

International experience indicates that effective systems rely on comprehensive coverage, accurate valuations, and simple, transparent rate structures (Grote and Wen, 2024). A value-based approach to defining the tax base is generally preferable for purposes of fairness and revenue buoyancy, but in the absence of reliable market data and valuation capacity, area-based systems can substitute. In either case, regular revaluations are crucial. Property tax bases should be set broadly to preserve the tax base and ensure horizontal equity, while targeted relief measures—such as means-tested exemptions or deferral schemes for liquidity constrained households—can address distributional concerns in targeted ways if required. Flat tax rates set at the local level enhance accountability, though often within centrally defined bounds. Complementary design features, such as higher taxation of vacant urban land, can further support efficient land use and reduce speculative holding. Effective and revenue-productive property tax systems also depend critically on revenue administration to enable a sequenced process from legal authorization to payment. Well-developed property cadastres, valuation practices, and compliance operations are essential to prevent implementation obstacles from undermining revenue performance.

Current practice in Asia-Pacific shows wide-ranging policy choices (McCluskey and others, 2022). Countries such as Cambodia and Mongolia tax the value of land and buildings collectively, others calculate separate values for land and buildings (Indonesia, Japan, Philippines, Thailand), while some countries determine the tax base by the value of land only (Fiji, Papua New Guinea, Vietnam). Area-based approaches are also observed in some countries and cities, and the rental value of land and buildings can also determine the tax base. Many PICs/SIS levy no recurrent property tax at all, including the Marshall Islands, Nauru, Samoa, Tonga, and Tuvalu. The low recurrent property tax revenues collected in APD countries outside of AEs have several underlying causes, including the granting of exemptions and reduced rates, irregular revaluations that lead to assessed values far below market values, misaligned incentives for local governments to raise local tax revenues, and political economy constraints which prevent needed reforms and effective implementation.

Digital technology can significantly strengthen property taxation by improving the three administrative functions that most often constrain revenues: coverage, valuation, and collection. Effective property tax systems depend on complete and regularly updated registers, credible valuation methods, and strong billing and enforcement; digital tools can support each of these by linking cadastral and tax records, enabling geospatial mapping of properties, facilitating mass appraisal, and improving the issuance and tracking of tax liabilities. Weaknesses in tax administration—rather than tax policy alone—are often the main reason recurrent property taxes underperform (Grote and Wen, 2024). In this context, technologies such as Geographic Information Systems (GIS) and satellite mapping, automated valuation models, and integrated land information systems can help governments detect unregistered properties, update assessments more systematically, and reduce the costs of administering the tax.

Successful property tax reforms ultimately require a holistic and country-tailored approach. While technology is a strong enabler of property tax systems, the evidence suggests that digitalization is not a shortcut (Knebelmann, 2022). Complementary and sequenced investments in legal frameworks, institutional coordination, staff capacity, and taxpayer compliance are needed to make property tax reforms a success

given the set-up costs involved and the relative unpopularity of the tax. In much of Asia-Pacific, where property markets are uneven, cadastral systems are incomplete, and administrative capacity varies sharply across jurisdictions, technology is therefore best seen as an enabling tool that can make broader property tax reforms more feasible, equitable, and scalable. Reform processes relating to property tax systems in several countries in Asia-Pacific reflect these messages and carry wider policy lessons for the region (Box 3).

Box 3. Reforming Recurrent Property Taxation: Selected Asian Experiences

Bhutan: adopting a valuation-based system.

Bhutan recently transitioned property taxes away from a simple area-based system towards one based on assessed values. Previously, property tax charges were determined by a rate per square foot that varied across a limited set of groups of towns and had not been updated in decades. The Property Tax Act of Bhutan 2022, implemented from 2023, introduced a flat 0.1 percent tax rate on land and property values, along with a new framework for property valuation combining different approaches to value both land and buildings across rural and urban areas. The reform broadened the tax base significantly, with revenues rising from around Nu 55 million to Nu 600 million (0.23 percent of 2025 GDP), while 1 percent of properties contribute nearly half of revenue collected, suggesting progressivity. The case of Bhutan shows that meaningful property tax reform is achievable even in low-income settings. It also highlights the value of regular revisions to property values, both to ensure tax bases and collections keep pace with economic change, and to prevent abrupt changes in liabilities that can cause resistance from taxpayers.

Indonesia: property taxes and fiscal decentralization.

Indonesia's experience shows that fiscal decentralization can align incentives for effective property taxation, but that local conditions and capacity remain important. Between 2010 and 2014, Indonesia devolved the Rural and Urban Land and Building Tax to local governments as part of a broader fiscal decentralization strategy intended to strengthen local revenue mobilization and accountability. The reform was associated with higher property tax collections and increased own-source revenue in many jurisdictions, especially in those with higher revenue potential (Engelmann and others, 2015). However, outcomes varied, with many local governments unable to undertake difficult measures such as updating valuations or increasing effective tax burdens. Administrative capacity and political conditions and incentives were critical determinants of success. Decentralization itself is thus not always sufficient for stronger property taxation. Durable revenue gains require complementary investments in cadastral and valuation systems, tax administration, and institutional arrangements that create the competencies and incentives for local governments to make active use of the property tax base (ADB, 2022).

Sri Lanka: the challenges of comprehensive property tax reform.

Sri Lanka illustrates the administrative and political challenges of implementing comprehensive property tax reform and the need for a sequenced, country-specific approach. Existing recurrent property taxes are administered by local governments using annual rental values that are often outdated, largely undigitized, and difficult to update because rental market evidence is limited and valuation capacity is constrained. Under current institutional arrangements, local governments retain the power to levy taxes on property values. While pursuing reforms to subnational property taxation, IMF capacity development (CD) proposed using an imputed rental income tax as an interim national-level measure (Beer and

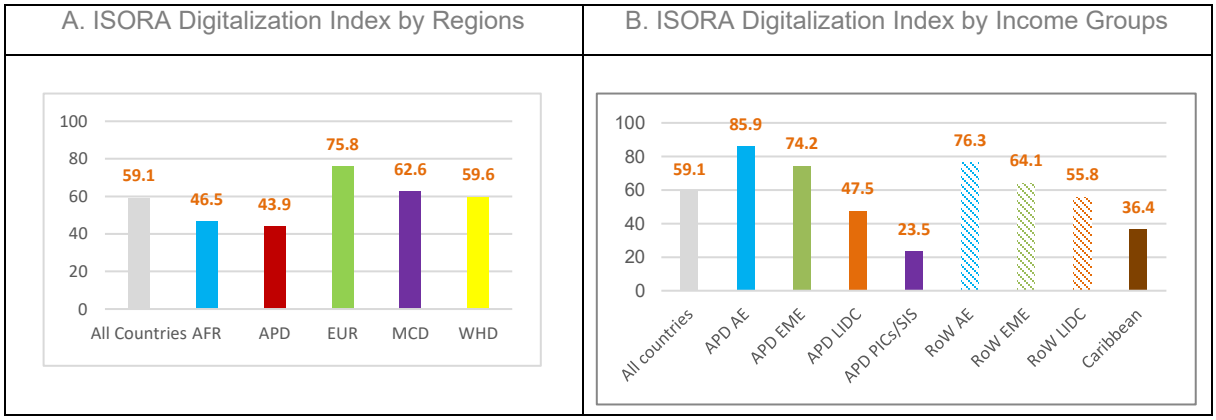
others, 2024). Rather than introducing a fully developed value-based system immediately, the current reform strategy prioritizes digitizing existing valuation records, establishing a national Sales Price and Rents Register, and valuing representative properties before strengthening recurrent taxation more broadly. While their outcome remains uncertain, the ongoing reform efforts in Sri Lanka highlight the potential for administrative and legal arrangements to shape the pace and sequencing of property tax reforms. Because these details can be complex and vary widely across countries and over time, reform plans must be tailored, sequenced and realistic about time horizons.

D. Using Digitalization to Improve Tax Compliance and Service Delivery

Tax administration digitalization matters for DRM (Nose and others, 2025). Digitalization is transforming tax administrations globally, offering tools to enhance compliance, improve efficiency, and reduce administrative and compliance costs. Studies relying on cross-country data, such as Amaglobeli and others (2023) and Nose and Mengistu (2023), document a strong association between the digitalization of revenue administration and tax revenues. Country-specific studies point to significant tax revenue gains from the adoption of digital tools such as e-filing (Santoro and others, 2022), e-invoicing (Bellon and others, 2022; Fan and others, 2020), and electronic fiscal devices (Mascagni and others, 2021) in developing economies. The growing adoption of cashless payment methods, for instance within the Indian demonetization episode, also appears to enhance tax compliance (Das and others, 2023). The adoption of electronic fiscal devices in Peru increased reported firm sales by about 5 percent in the year following implementation (Bellon and others, 2022). Similarly, the adoption of e-invoicing is estimated to improve revenue mobilization by around 0.7 percent of GDP in developing countries (Nose and Mengistu, 2023). Digitalization is an important enabler of tax administration's institutional development, helping develop core functions and efficient processes. However, what is clear from these studies is that digitalization of tax administration only produces results if it is embedded in strong institutions and supported by enabling factors, such as adequate staff skills, and investment in information technology (Nose and Mengistu 2023).

On average, APD records the lowest score on digitalization in ISORA (Figure 19A). However, this partly reflects the sample composition, with PICs/SIS accounting for nearly half of the APD countries with a particularly low index on digitalization. This is consistent with Acedo and others (2024) who use the TADAT digitalization index and also point to comparatively low levels of digitalization in APD tax administrations, largely reflecting the composition of the sample with many APD LIDCs and PICs/SIS included with low scores. APD PICs/SIS are indeed the least digitalized group in the region and even lag behind peers in Caribbean small islands (Figure 19B). The median index therefore hides a stark digital divide within APD. In fact, APD AEs and EMEs are the digitalization leaders in tax administration, not only within the region but also globally (Figure 19B). When looking more closely at the underlying dimensions of digitalization, APD AEs and EMEs report especially strong performance across innovation and advanced technologies, core tax processes (e-registration, e-filing, e-payment), digital services, and third-party data management.

Figure 19. ISORA Digitalization Index of Tax Administration in 2022, Median

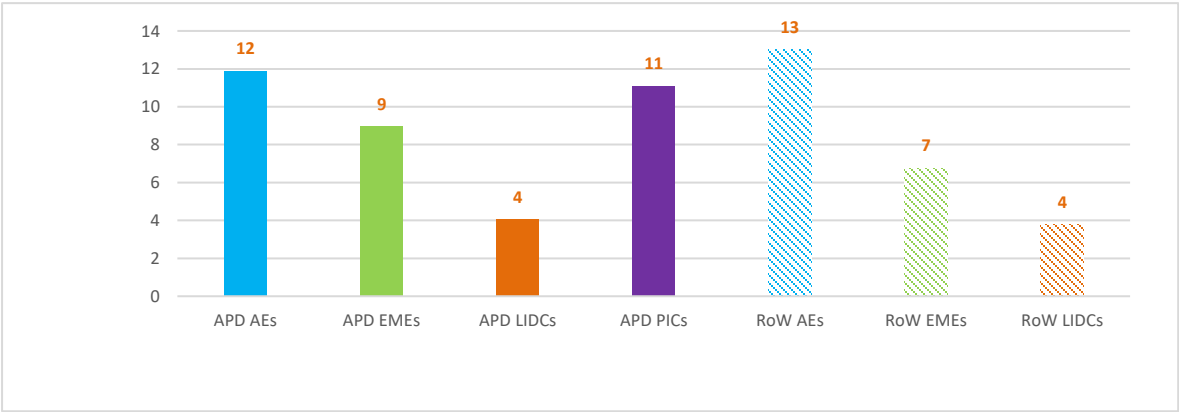


Source: ISORA 2023.

Note: The full score is 100.

The digital divide within the APD region is also reflected in ICT spending by tax administrations, as shown in Figure 20. Within Asia-Pacific, AEs devote the largest share of operating spending to ICT, followed by PICs/SIS, EMEs, while LIDCs lag substantially behind. Compared with income-group peers outside the region, APD AEs allocate a broadly similar share of operating expenditures to ICT (12 percent versus 13 percent), while APD EMEs spend somewhat more than non-APD EMEs (9 percent versus 7 percent). APD LIDCs allocate the same low share as LIDCs elsewhere (4 percent), suggesting that limited investment in digital infrastructure, which remains a binding constraint.

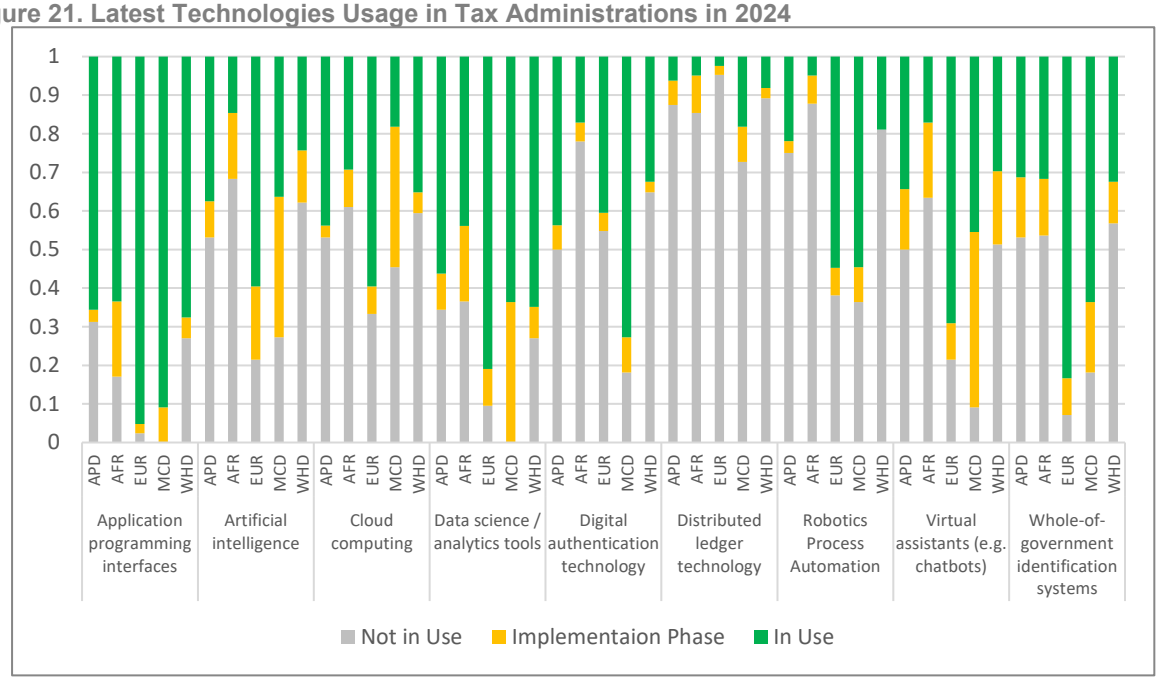
Figure 20. ICT Costs in Tax Administrations in 2024 (Percent of Operating Expenditures)



Source: ISORA 2025.

Figure 21 demonstrates the adoption of advanced technologies in APD countries. Among the region, adoption (in use) is comparatively higher for AI (38 percent), cloud computing (44 percent), and digital authentication (44 percent). At the same time, the use of robotic process automation (22 percent) and whole-of-government identification systems (31 percent) remains less widespread. This pattern suggests that APD tax administrations are progressing in selected tools, but still face constraints in interoperability, data integration and whole-of-government infrastructure.

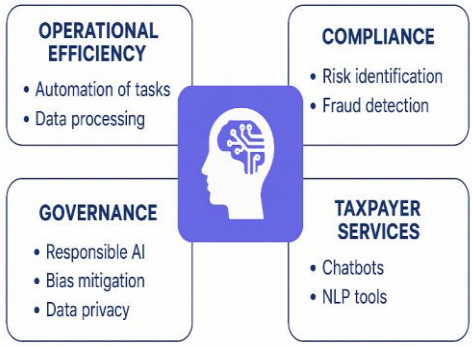
Figure 21. Latest Technologies Usage in Tax Administrations in 2024



Source: ISORA 2025.

Digitalization can transform revenue administrations in multiple ways. A modernization pathway runs from foundational digital services to core data infrastructure and interoperability, to compliance analytics, and to more advanced AI applications. Digitalization provides the foundation for more advanced use cases, including for the use of AI. This can strengthen monitoring, improve risk detection, accelerate return processing, and reduce administrative and compliance costs. Building on these capabilities, AI can further support risk-based compliance management, fraud detection, taxpayer segmentation, virtual assistance, document processing, and revenue forecasting (Figure 22).

Figure 22. Use of AI in Tax Administrations



Source: AI-generated image based on Aslett and others 2024.

In recent years, digitalization has become increasingly important for strengthening tax administration in Asia and the Pacific. ADB (2025a) documents increasing adoption of digitalization and data-driven compliance management across tax administrations, including the use of advanced analytics and AI to improve risk assessment and operational efficiency. Early adopters such as China, Malaysia, and Singapore demonstrate the potential benefits of digital tools and data-driven processes for compliance, administrative efficiency, and taxpayer services (Shakil and Tasnia, 2022). Although implementation may require upfront investment, the long-term gains in efficiency and improved compliance are significant, particularly in environments with weaker governance.

For Asia-Pacific countries, characterized by diverse levels of digital maturity and institutional capacity, AI adoption will be only as strong as the digital foundations on which it rests. AI readiness in the region is highly

uneven; AEs lead, while many lower-income economies still face data, skills, and governance gaps. According to the IMF's AI Preparedness Index (AIPI)[18], AEs score highly due to robust connectivity and comprehensive AI strategies, while APD EMEs face challenges in data integration, technical expertise, and governance. Across the region, gaps in connectivity, electricity, digital infrastructure, and skills remain significant, especially in rural and remote areas and in PICs (ADB 2025b). Digital literacy constraints are particularly acute among MSMEs, workers, women, youth, and low-income groups (Baroy 2023), while many administrations are still focused on expanding basic access and capabilities. As AEs move rapidly ahead, weaker digital foundations elsewhere risk widening the regional divide (UNDP 2025). To illustrate how AI is being applied across different levels of digital maturity in the region, Box 4 presents concrete examples from several Asia-Pacific tax administrations.

Box 4. Artificial Intelligence in Tax Administrations: Selected Asia-Pacific Experiences

Singapore (AE)

Singapore's Inland Revenue Authority (IRAS) is among the region's most advanced adopters of AI in tax administration. AI-driven risk scoring models are used to automatically flag suspicious tax filings and patterns of potential under reporting, significantly strengthening compliance management. IRAS also deploys AI to automate audit-related document analysis, enabling rapid identification of anomalies in large volumes of taxpayer-submitted material (Morrison Consultants, 2025). Additionally, IRAS uses AI-powered virtual assistants to deliver real time taxpayer guidance, easing staff workload and improving service efficiency (Cantens and Tourpe, 2025).

Thailand (EME)

Thailand's Revenue Department integrates AI into its e-tax systems, including chatbot services and tax examination processes, while its e-invoicing framework supports fraud detection and improved VAT compliance (Preechachotwatin, 2024). More recently, the Revenue Department has stepped up efforts to leverage AI to enhance tax administration efficiency, including through collaboration with the National Science and Technology Development Agency and a commercial bank. Key priorities include accelerating tax analysis and audit processes and analyzing taxpayer filing and payment behavior to develop more tailored taxpayer services. These initiatives have been supported by broader digitalization reforms, including the introduction of the D-VAT & SBT System (a digital platform that consolidates registration, filing, amendment, and refund processes for VAT and Specific Business Tax (SBT)).

Fiji (PIC)

Fiji is building digital foundations enabling future AI use, supported by data-driven governance reforms. Fiji represents a small island state where AI use is still in its early stages but supported by a strong push toward digitalization. According to regional assessments, Fiji is developing data-driven governance systems that underpin future AI adoption in tax administration. While Fiji has not yet implemented

[18] AIPI assesses countries across digital infrastructure, data governance, institutional capacity, and legal and ethical frameworks. https://www.imf.org/external/datamapper/datasets/AIPI.

advanced AI tools, its reforms emphasize risk-based compliance management enabled by digital infrastructure upgrades—an essential precursor for applying AI techniques such as automated case selection, anomaly detection, or digital taxpayer service tools. Fiji's progress positions it well to integrate AI gradually as capacity strengthens and foundational ICT systems mature (Cotton and others, 2025).

Generative AI (GenAI) has the potential to further transform tax administration by improving both operational efficiency and taxpayer experience (Cantens and Tourpe, 2025). Building on earlier digital reforms, such as online filing systems, GenAI introduces more advanced capabilities by understanding and generating natural language, enabling tax administrations to provide real-time, personalized support to taxpayers while automating routine tasks for staff. Early applications, such as virtual assistants in Singapore and AI-guided filing in Korea, demonstrate its capacity to enhance communication, reduce administrative burdens, and increase compliance. Beyond efficiency gains, GenAI could fundamentally reshape the relationship between governments and citizens by making tax systems more accessible and responsive.

However, given the sensitivity of taxation, the adoption of AI also raises important implementation challenges. Legal and ethical risks may arise from biased training data, limited transparency, and potential breaches of privacy, underscoring the need for robust governance frameworks. At the same time, weak data infrastructure and skills gaps may constrain effective deployment, while the complexity of advanced models can reduce explainability and reinforce the need for human oversight (Aslett and others, 2024).

Reform efforts need to recognize that digital transformation should be embedded in broader tax administration modernization strategies rather than pursued as a stand-alone technology agenda. This requires moving beyond the adoption of individual digital tools toward the redesign of core business processes, stronger data governance, greater interoperability across systems, enabling legal frameworks for electronic payments, records, data sharing, and digital signatures, more integrated taxpayer services, and closer alignment with whole-of-government strategy. Particularly for APD LIDCs, prioritizing ICT investment will be critical to strengthening the digital foundations needed for more effective and data-driven tax administration. Peer learning from more digitally advanced APD countries can also offer a practical pathway for lower-capacity administrations to identify scalable digital solutions.

The key challenge is to turn AI potential into practical, trusted, and locally relevant tax administration reforms. Tax administrations should identify priority use cases based on expected compliance and service-delivery gains; assess legal, ethical, and operational risks before deployment; disclose the use of AI in taxpayer interactions where appropriate; strengthen data governance; and invest in staff capacity to use, interpret, and oversee AI tools effectively. Effective adoption of AI will also require solutions tailored to local languages, institutional capacity, and cultural contexts, particularly where taxpayer segments differ substantially in digital access and literacy.

Priorities should differ by level of digital maturity and administrative capacity:

- For APD AEs and EMEs, the priority is to translate ICT investment into more integrated, interoperable, and data-driven tax administration systems. The policy message is therefore not simply to spend more. For APD EMEs in particular, the main challenge appears to be converting relatively high ICT spending into stronger system interoperability, better use of third-party and administrative data for stronger compliance risk management and refund controls, wider integration of digital payments and e-invoicing, and more mature taxpayer-facing digital services, including for large taxpayers and HNWIs.

- For APD LIDCs and PICs/SIS, while strengthening digital foundations remains a priority, AI may allow some countries to leapfrog selected stages of CD by providing access to expertise and analytical capabilities that would otherwise be unavailable. However, maximizing the benefits of AI still requires basic digital infrastructure (e-registration, e-filing, and e-payment processes), adequate data quality (reliable and valid data to avoid misinterpretation by AI systems), and governance. Across all country groups, AI adoption should be gradual, risk-based, and subject to strong governance, privacy safeguards, explainability requirements, and human oversight. A sequenced approach—starting with high-impact, well-governed pilots and scaling only where data, systems, and institutional capacity are adequate—would help maximize benefits while limiting legal, ethical, and operational risks.

E. Building Public Trust to Strengthen Voluntary Compliance

Public trust in tax administration is vital for voluntary compliance. Trust reflects taxpayers' confidence that tax administration applies tax laws fairly and consistently, uses revenues responsibly, provides reliable and transparent services, protects taxpayer rights, and operates with integrity and accountability. When taxpayers perceive tax administration as reliable, well governed, and fair, they are more likely to view taxation as legitimate and comply willingly with their obligations. Such perceptions strengthen tax morale—the intrinsic motivation to pay taxes—which reduces reliance on coercive enforcement and lowers compliance costs (OECD, 2019). Over time, higher levels of trust and tax morale contribute to more sustainable revenue outcomes and a more cooperative relationship between taxpayers and the tax administration.

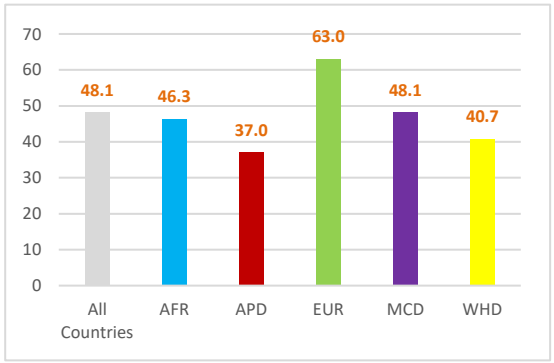
Results from TADAT assessments reinforce this conclusion: where public trust is stronger, voluntary compliance tends to be higher as taxpayers believing that credible, transparent, and accessible administrative processes are in place (Acedo and others, 2024).

ISORA data show that public trust in APD countries is lower than in other regions. The ISORA public trust indicator is based on responses to 14 survey questions spanning four key dimensions: transparency, accountability, integrity, and taxpayer rights. It assesses the extent to which tax administrations publicly disclose strategic plans, annual reports, key compliance risks, service standards, and taxpayer satisfaction survey results. Moreover, it reveals whether tax administrations have established internal assurance mechanisms, taxpayer rights frameworks, and external audit arrangements. The indicator shows that Asia-Pacific records a median public trust score of 37, significantly below the global median of 48.1 (Figure 23A).

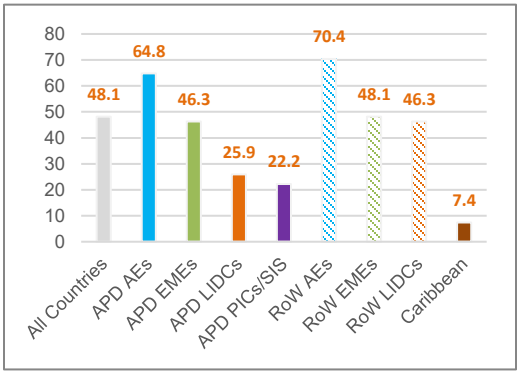
The trust deficit cuts across all income groups but is particularly large among LIDCs and PICs/SIS. APD AEs exhibit stronger public trust than the global media with a score of 64.8, but is below the level of AEs outside APD at 70.4. Also, APD EMEs with a score of 46.3 are slightly below EMEs outside APD (48.3) and their level mimics LIDCs outside APD. APD LIDCs and PICs/SIS record substantially lower trust levels (25.9 and 22.2, respectively), far below their non-APD peers—although trust levels in the Caribbean are even lower (Figure 23B).

Figure 23. ISORA Index of Public Trust in 2022, Median

A. Public Trust by Regions



B. Public Trust by Income Groups

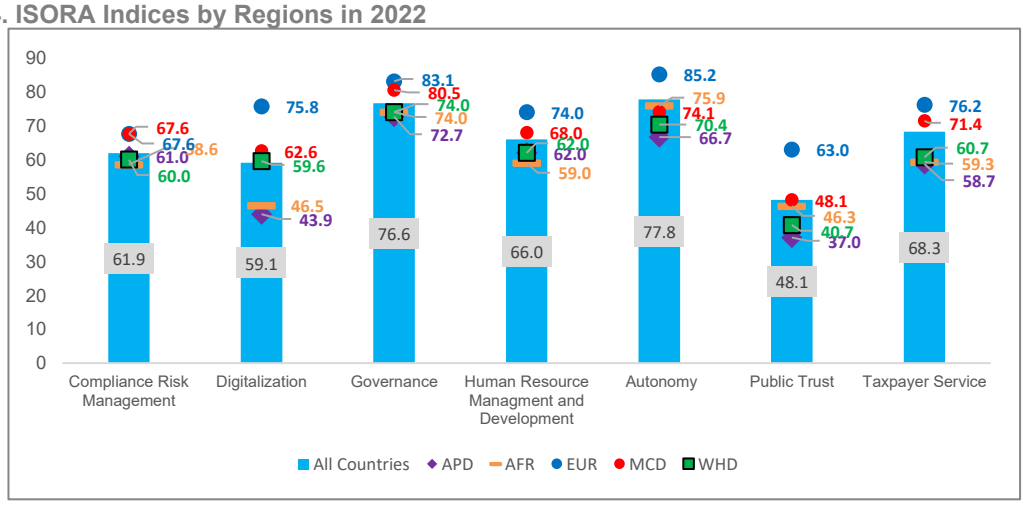


Source: ISORA 2023.

Note: The full score is 100.

Low public trust is likely associated with weak governance, restricted autonomy, limited digitalization, and unsatisfactory taxpayer service. Figure 24 shows that APD countries also score relatively weak in these four areas. It may highlight interconnected institutional weaknesses behind their trust deficit. Weak governance and political interference can undermine perceptions of fairness and integrity. Limited digitalization may reflect discretion, high compliance costs and lack of transparency. Restricted autonomy can constrain operational effectiveness and consistent enforcement, while poor taxpayer service may negatively affect taxpayers' direct experiences with the administration.

Figure 24. ISORA Indices by Regions in 2022

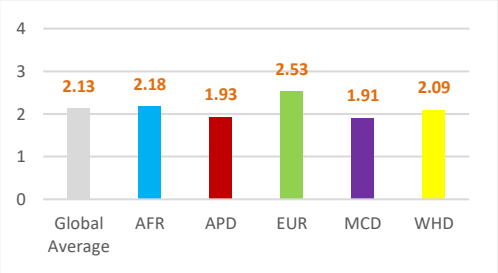


Source: ISORA 2023.

Note: The full score is 100.

TADAT data suggest that APD countries perform especially weak in internal assurance mechanisms, as opposed to external oversight. Figure 25 shows a granular TADAT indicator for internal assurance. Asia-Pacific countries record an average score of 1.93, which is well below the global average of 2.13 and lagging behind three other regions. Internal assurance mechanisms include internal audit and staff integrity and underscore the need to strengthen quality control and implement a code of ethics.

Figure 25. POA 9-29 Internal Assurance Mechanism by Regions



Source: Authors based on TADAT Database 2014-25.

Building public trust in APD tax administrations calls for improving transparency and accountability and clear public communication to reduce uncertainty and perceptions of arbitrariness. Reform options include publishing strategic plans, performance results, compliance risks, taxpayer satisfaction findings, and service commitments.

Governance should be improved through internal audit and a stronger culture of integrity. Reforms should focus on risk-based internal audit, enterprise risk management, integrity monitoring, clear conduct standards, ethics training, conflict-of-interest procedures, protected reporting channels, and linking performance management to professional conduct.

Promoting fair and consistent application of tax laws is central to improving trust and tax morale, but priorities should reflect APD's compliance profile. While taxpayer-facing functions are relatively stronger, gaps remain in payment compliance, arrears management, risk-based audit, and credible sanctions. Clear legal rules with directives which provide consistent interpretation, standardized procedures, stronger VAT refund controls, better follow-up on overdue liabilities, and targeted action against high-risk and high-income non-compliance can signal that enforcement is fair and proportionate. In LIDCs and PICs/SIS, reforms should begin with practical taxpayer risk segmentation, better use of available third-party information, and clearer escalation procedures.

Recent studies show that better communication and service-oriented interactions can improve trust. Mascagni and others (2025) find that taxpayer-official interactions strongly shape trust: facilitation-oriented interactions strengthen perceptions of professionalism, while enforcement-focused contacts can reduce trust and weaken tax morale if perceived as aggressive. Given the importance of MSMEs in the region, administrations should expand taxpayer education, proactive outreach, call centers, simplified guidance, and feedback channels, while ensuring that enforcement contacts are professional, consistent, and clearly explained. Stronger APD AEs and EMEs can provide peer-learning examples for LIDCs and PICs/SIS.

Advancing digitalization and simplifying procedures can visibly improve taxpayer experience and trust. Expanding e-registration, e-filing, and e-payment reduces compliance costs, increases predictability, and improves efficiency. For small businesses and individuals, simplified processes are especially important. By reducing face-to-face interactions, digital platforms can also limit discretion and rent-seeking opportunities, while reliable and user-friendly systems, supported by competent and well-trained staff, reinforce professionalism, transparency, and service orientation.

Finally, trust-building efforts should be sequenced and differentiated across APD country groups. AEs should sustain relatively high trust through stronger data governance, transparency, and taxpayer-centered digital services. EMEs should convert stronger capacity and ICT investment into better interoperability, compliance risk management, and consistent service delivery. LIDCs and PICs/SIS should prioritize basic administrative capabilities, frontline service quality, risk-based compliance management, and sustained taxpayer communication.

Building public trust takes time, requiring sustained leadership, institutional commitment, and persistence. Administrations should link trust-building measures to observable compliance outcomes, such as timely filing and payment, accurate reporting, and fewer disputes. Over time, strengthening accountability, integrity, fair enforcement, taxpayer-oriented services, and sequenced digital reforms can help administrations demonstrate visible improvements and create a virtuous cycle between trust, tax morale, and revenue performance.

Box 5. Building Public Trust in Tax Administrations: Selected Asia-Pacific Experiences

Mongolia (EME): building trust through digital transparency and taxpayer participation.

Mongolia offers an example of how digitalization can be used to strengthen public trust while improving compliance outcomes. The Mongolian Tax Administration (MTA) launched the eBarimt system in 2016, introducing a nationwide framework based on electronic VAT receipts with unique identifiers and quick response codes, supported by a consumer mobile application for receipt registration and VAT refund claims. These reforms made transactions more visible to the administration, reduced opportunities for underreporting, and gave taxpayers a direct role in verifying transactions through receipt registration and VAT refund incentives. By making compliance more transparent and convenient, the reforms helped shift taxpayer engagement from passive reporting toward active participation in the tax system.

The trust-building value of Mongolia's reforms lies not only in the adoption of technology, but also in how technology was linked to better governance and compliance risk management. The 2022 TADAT assessment showed that Mongolia achieved A scores for both external oversight and public perception of integrity under POA 9 "Transparency and Accountability," meeting international good practice standards. The VAT compliance gap narrowed sharply, while the tax-to-GDP ratio rose significantly, from 13 percent in 2015 to 24 percent in 2024. Mongolia's experience highlights three lessons for building public trust. First, digital services such as e-filing, e-payment, and VAT receipt systems can lower compliance costs and improve accessibility. Second, taxpayer-facing incentives can encourage participation and foster a cooperative compliance culture. Third, digitalization should be accompanied by strong governance, data quality controls, and risk-based enforcement to reinforce perceptions of fairness, consistency, and credibility.

Maldives (SIS): building trust by shifting from enforcement to facilitation.

The Maldives Inland Revenue Authority (MIRA) provides a small-island case where trust-building is closely linked to institutional maturity, service orientation, and digital transformation. Established in 2010 to administer the country's modern tax system, MIRA initially focused on implementing newly introduced taxes and building a credible organization. Its 2025–28 Strategic Plan marks a further shift in emphasis: repositioning MIRA from being perceived primarily as an "enforcer" toward becoming a "facilitator," with

trust, accountability, and stakeholder engagement embedded in the reform agenda. This framing is important in a small-island setting, where taxpayers' direct experiences with officials and the perceived fairness of administration can strongly shape tax morale.

MIRA's reform approach combines taxpayer service improvements with stronger digital capabilities. MIRA has achieved over 98 percent online filing and 95 percent online payment through MIRA-connect, supported by several digital service channels. Planned and ongoing reforms include e-invoicing, stronger data integration and analytics, and expanded self-service under its Digital Transformation Roadmap and Strategic Plan (MIRA, 2025). These measures are designed to reduce administrative burdens, make compliance easier, and improve the transparency and predictability of taxpayer interactions with the authority.

OSI data show that Maldives' public trust index increased markedly, rising from 0.22 in 2015 to 0.71 in 2022. Revenue performance also strengthened, with the tax-to-GDP ratio increasing by 6.5 percentage points between 2021 and 2025[19].The Maldives case illustrates that, for small island administrations, building trust does not require large-scale transformation all at once. A sequenced agenda—starting with clear taxpayer rights, accessible guidance, service standards, digital filing and payment, and structured engagement—can generate visible improvements in taxpayer experience. Over time, deeper reforms such as e-invoicing, centralized data management, and stronger risk management can strengthen fairness and accountability by reducing discretion and enabling more targeted compliance interventions. The key lesson is that trust can be built when taxpayers see the administration as helpful, transparent, secure, and consistent, rather than only as an enforcement body.

IV. Conclusions

Asian and Pacific economies face a compelling case for stronger and more resilient DRM to address current and future fiscal challenges. Tax-to-GDP ratios remain below those of global peers across income groups, and these gaps have proved persistent. Tax-potential estimates indicate meaningful scope to raise revenue in many economies, particularly EMEs and LIDCs. At the same time, the region is exceptionally diverse. Reform priorities must therefore be tailored to country circumstances, but the central message is common: durable revenue gains require tax policy and tax administration to be designed and implemented as an integrated system.

The stylized facts point to opportunities on both sides of that system. On tax policy, low VAT rates explain the region's comparatively low VAT revenues—although in some countries VAT exemptions further constrain the base. CIT systems make extensive use of incentives, with associated fiscal costs and governance risks. Recurrent property taxes remain underused outside AEs, despite their potential. On tax administration, VAT

[19] This is intended to present factual evidence rather than establish a causal relationship between public trust and tax-to-GDP ratio increase.

compliance gaps are sizable in many EMEs and LIDCs. OSI, ISORA and TADAT indicators also point to relative weaknesses in compliance risk management, accurate reporting, timely filing and payment, arrears management, digitalization, LTO and HNWI operations, and public trust. These weaknesses are most pronounced in LIDCs and PICs/SIS, although administrative performance varies widely within every country group.

The five reform areas examined in this paper illustrate the complementarities between policy design and implementation. VAT may need to play a larger role given the likely erosion of labor-income tax bases induced by structural trends in the years to come. VAT also has favorable characteristics: a broad base, relative neutrality across economic activities, and resilient to tax competition and uncertainty. Property tax reform can likewise provide stable, substantial, and relatively efficient revenue. Effective reform requires broad coverage, credible and regularly updated valuations, simple rate structures, and effective administration, with digital cadastral and valuation tools serving as enablers.

Reforming the taxation of capital income, including CITEs, should be considered. CIT incentives should be transparent, time-bound, regularly evaluated, and increasingly oriented toward cost-based support for real investment rather than open-ended profit-based relief. The potentially growing importance of capital taxation, including the CIT, calls for stronger multilateral tax cooperation. In the absence of global coordination, shifts from source-based toward destination-based taxation may attract greater attention. Against this background, the relatively low reliance on VAT and property taxes in Asia and the Pacific suggests scope to strengthen DRM.

Technological advances could also expand the range of policy and implementation options that were previously infeasible, including digital or progressive VAT. Digitalization can strengthen each reform area by improving registration, filing, payment, information matching, risk assessment, taxpayer service, and property valuation. Yet the region's digital divide calls for differentiated sequencing. AEs and EMEs can deepen interoperability, data analytics, e-invoicing, and carefully governed uses of AI, whereas lower-capacity administrations should first establish reliable taxpayer registers, e-filing and e-payment channels, basic third-party data matching, and maintainable core systems. Across all settings, technology must be accompanied by sound data governance, privacy safeguards, explainability, human oversight, and investment in staff skills. Likewise, trust is not a separate "soft" objective: transparent procedures, protection of taxpayer rights, effective internal assurance, fair and consistent enforcement, and responsive services can support voluntary compliance and the sustainability of reform. Digitalization can also help strengthen public trust in tax administration, an area in which Asia and the Pacific lags behind the rest of the world.

The urgency of this agenda will increase as demographic change, technological disruption, geoeconomic fragmentation, and climate transition reshape expenditure pressures and tax bases. These transitions could weaken traditional labor, corporate, trade, and resource-related revenues while increasing demands for social protection, adaptation, infrastructure, and other public services. Tax system reform priorities should therefore include strengthening tax bases, reconfiguring the tax mix and design, embracing digital administration, enhancing global cooperation, and integrating macro-critical risks before pressures become acute. Reform packages should be embedded in medium-term revenue strategies and sequenced to match institutional capacity. Political commitment, clear communication, credible compensation where needed, and sustained implementation will be as important as the technical design of individual measures.

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